

Quantitative Business Methods

Supplementary Teaching Material

Khaled Bastaki

Bahrain Polytechnic

School of Business and Finance

Review of Mathematics

0.1 Arithmetic Operations

Let us start with elementary arithmetic operations which we will need to use in this module. The acronym to remember is **BODMAS**, which tells you the correct order in which to perform a mathematical operation:

Operation	Example
Brackets	$()$
Orders	2^3
Division	$8 \div 2$
Multiplication	4×3
Addition	$5 + 2$
Subtraction	$7 - 3$

Example 1: Derive the equation:

$$(35 \div 7 + 10) - (4^2 - 6 \times 2)$$

Solution

Remember the order of **BODMAS**.

For convenience, let us call $(35 \div 7 + 10)$ the **first term** and $(4^2 - 6 \times 2)$ the **second term**. In order to subtract these two terms, you need to first evaluate the equations inside the **bracket**.

Lets start with the first term:

$$= 35 \div 7 + 10 \quad \text{Division}$$

$$= 5 + 10 \quad \text{Addition}$$

$$= 15$$

Now we can do the second term:

$$= 4^2 - 6 \times 2 \quad \text{Order}$$

$$= 16 - 6 \times 2 \quad \text{Multiplication}$$

$$= 16 - 12 \quad \text{Subtraction}$$

$$= 4$$

Finally, we can subtract the two terms:

$$= (35 \div 7 + 10) - (4^2 - 6 \times 2)$$

$$= 15 - 4$$

$$= 11$$

With practice, you will be able to conduct these operations with ease. It will be useful when we start with algebraic notations.

It is also worth remembering some interchanging notation. For *any* numbers a and b :

- The **sum** of a and b means $a + b$.
- The **difference**^a between a and b means $a - b$.
- The **product** of a and b means $a \times b = a \cdot b$.
- The **quotient** of a and b means a divided by b or a/b .

The *power* is the amount of times a number is multiplied by itself. For example:

$$3^4 = 3 \cdot 3 \cdot 3 \cdot 3 = 81$$

$$2^2 = 2 \cdot 2 = 4$$

One important power which we will use throughout the module is the square root $\sqrt{a}$. For example^b:

$$= \sqrt{9} = 3$$

$$= \sqrt{4} = 2$$

0.2 Fractions and Percentages

A fraction is simply a part of a whole and expressed as:

$$\frac{a}{b}$$

We call a the **numerator** while b is the **denominator**. You should be comfortable with handling fractions. Moreover,

^aThe reverse is also true, where $b - a$.

^bFor your information, the square root of a number is simply the base multiplied by 0.5.

you should also know that

$$\frac{a}{b} \cdot 100,$$

will convert the fraction into a percentage, with the % sign to be used.

Example 2:

(a) Evaluate this expression as a fraction:

$$\frac{4}{9} \cdot \frac{1}{3} \cdot \frac{2}{5}$$

(b) Express the fraction as a percentage.

Solution

(a) You can simply multiply all the numerator terms together and all the denominator terms together:

$$\frac{4 \cdot 1 \cdot 2}{9 \cdot 3 \cdot 5} = \frac{8}{135}$$

(b) To convert this into a percentage, simply multiply it by 100.

$$\frac{8}{135} \cdot 100 = 5.92\%$$

0.3 Functions

You should be very comfortable in understanding what a function is and how to illustrate it.

When a variable y depends on another variable x , we can mathematically denote this as:

$$y = f(x)$$

where we say that y is a function of x .

Example 3: Consider the below function:

$$y = 2x$$

(a) Express each value of y for the below values of x :

x	y
0	
1	
2	
3	
4	
5	

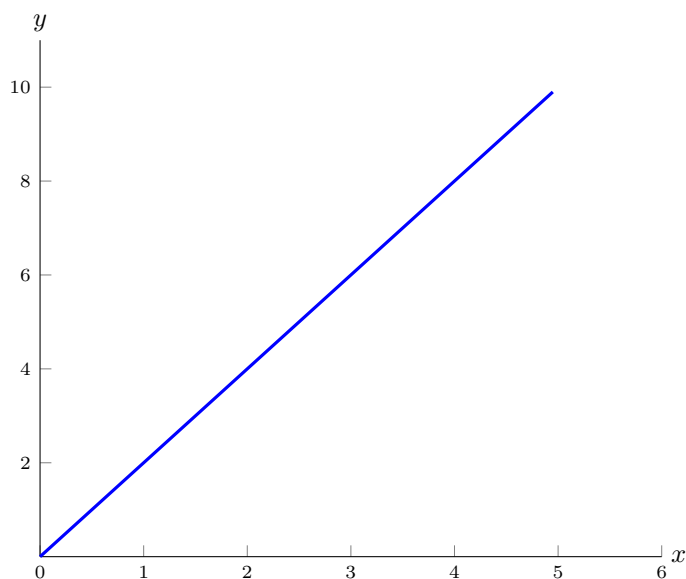
(b) Plot a graph where y is on the vertical axis and x is on the horizontal axis. Label each value of (x, y) and connect it.

Solution

(a) Simply input each value of x into the function $y = 2x$:

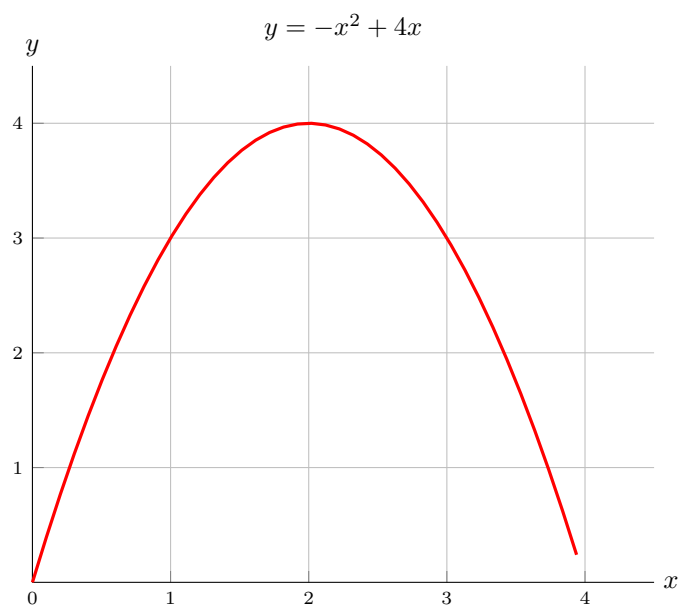
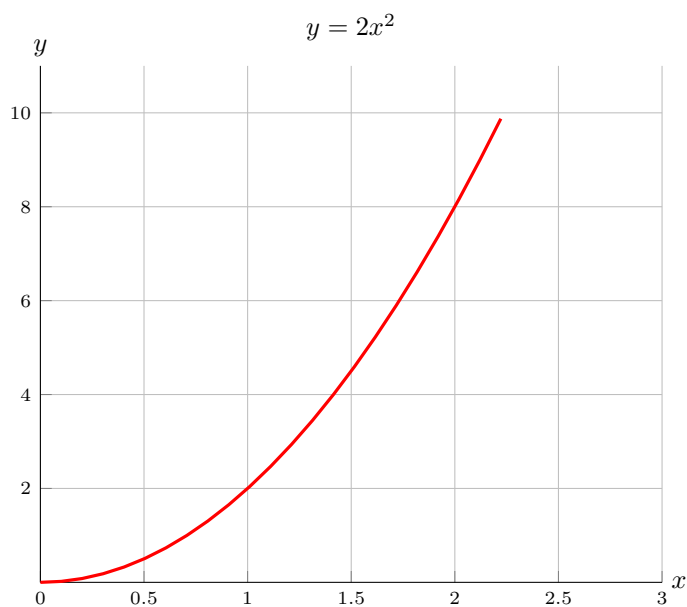
x	y
0	0
1	2
2	4
3	6
4	8
5	10

(b) As per the instructions, we can illustrate this function as below:



Notice how the function is a straight line. We call this a **linear function**^c.

A non-linear function can be visually identified as having curves^d:



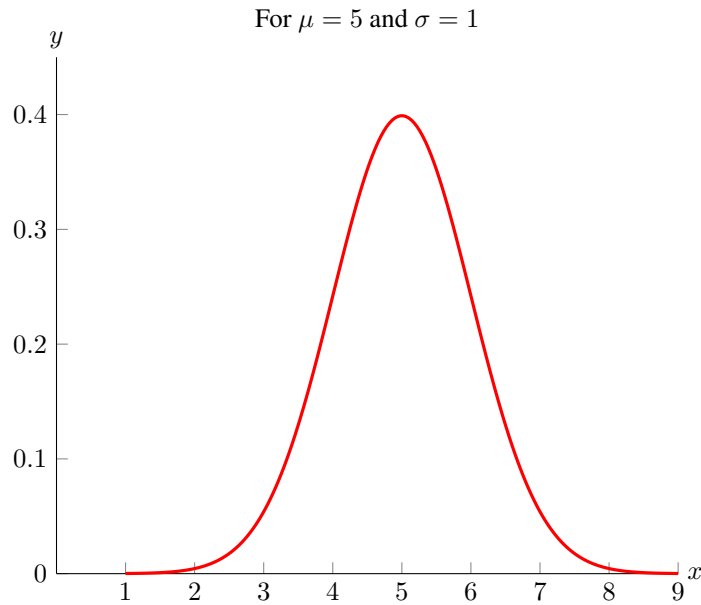
An important non-linear function that you will need to be familiar with is the **normal distribution**:

^cThe qualifier here is that the slope of a linear function is constant. You can derive this using a variety of methods, but one way is through calculus. For **Example 3** the slope of the function is $\frac{dy}{dx} = 2$.

^dSimilarly, a non-linear function will not have constant slopes. In fact, the slope changes based on the position of x .

$$y = \frac{1}{\sqrt{2\pi}} e^{-\frac{(x-\mu)^2}{\sigma^2}}$$

Although this function looks complicated^e it is actually quite simple to calculate in a software if you have the values of the mean μ and the variance σ^2 . You will learn more about this later in the module. For now, you should just know that it is a non-linear function and can be visually represented as below:



0.4 Summation Operator

Consider the exam score data of 5 students from a class:

<i>i</i>	Name	Score <i>x</i>
1	Ahmed	70
2	Sara	90
3	Hassan	80
4	Fatima	44
5	Zahra	73
6	Hisham	32

^eThe normal distribution function describes the probability of observing a particular value of x . It says that it is greatest when it is near the average μ , and that this probability dies away rapidly as the difference from the mean increases. The rapidity of the degeneration is based on the standard deviation σ .

There are a total of $n = 6$ people in this dataset. Moreover, each person is indexed by a number i . For example, x_5 refers to Zahra's score, which is $x_5 = 73$.

Suppose we are interested in the sum of all scores in the class. This is simply:

$$= 70 + 90 + 80 + 44 + 73 + 32 = 389$$

Another way to express the sum of the score variable x is by using the summation operator $\sum$. Formally, we would say:

$$= \sum_{i=1}^n x_i$$

$$= x_1 + x_2 + x_3 + x_4 + x_5 + x_6$$

$$= 70 + 90 + 80 + 44 + 73 + 32$$

$$= 389$$

This will be a useful operator later in the module. For example, the average score of the class can be expressed as:

$$= \frac{1}{n} \sum_{i=1}^n x_i$$

$$= \frac{389}{6} = 64.8$$

0.5 Problem Set

1) Work out the following:

(a) $(2 + 4) \times (3 + 7)$

(b) $(1/3 \times 12) - 4/2$

(c) $\frac{(1+4)}{5} \times (100 - 98)$

2) Work out the following (You can use a calculator when needed):

(a) $\sqrt{16}$

(b) $(0.07)^2$

(c) $\sqrt{0.49}$

3) Work out the following:

(a) What is 98% of 200?

(b) Express $17/25$ as a percentage.

4) Sketch the following functions:

(a) $y = x + 3$

(b) $y = 3x - 2$

5) Consider the following data:

i	x
1	3
2	1
3	4
4	6
5	8

Find the following expressions:

(a) $\sum_{i=1}^5 x_i.$

(b) $\frac{1}{n} \sum_{i=1}^5 x_i^2.$

0.6 Solutions

1) Remember to use BODMAS:

(a)

$$\begin{aligned}(2 + 4) \times (3 + 7) &= 6 \times 10 \\ &= 60\end{aligned}$$

(b)

$$\begin{aligned}\left(\frac{1}{3} \times 12\right) - \frac{4}{2} &= 4 - 2 \\ &= 2\end{aligned}$$

(c)

$$\begin{aligned}\frac{(1 + 4)}{5} \times (100 - 98) &= \frac{5}{5} \times 2 \\ &= 1 \times 2 \\ &= 2\end{aligned}$$

2) You can use a calculator for the second and third part:

(a)

$$\sqrt{16} = 4$$

(b)

$$(0.07)^2 = 0.0049$$

(c)

$$\sqrt{0.49} = 0.7$$

3) Remember that a percentage is a fraction multiplied by 100:

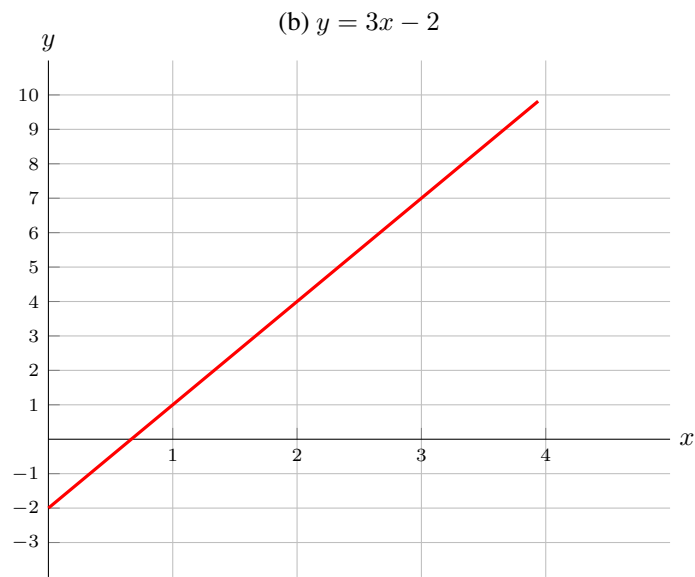
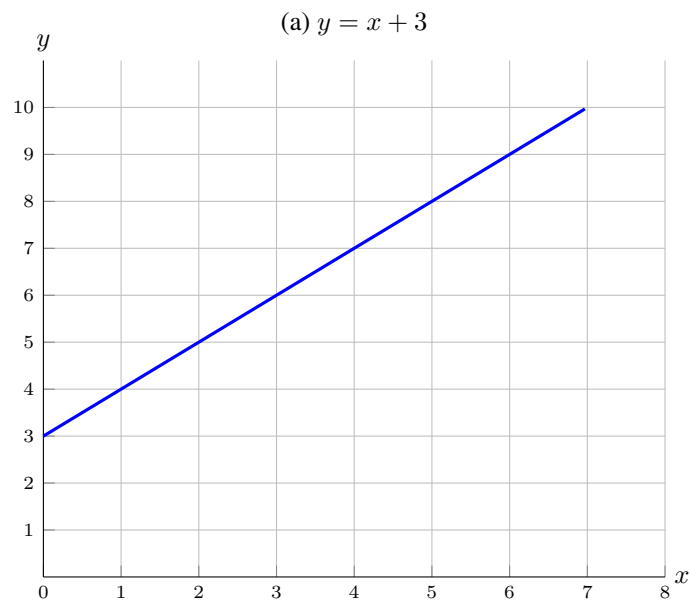
(a)

$$\begin{aligned} 98\% \text{ of } 200 &= \frac{98}{100} \times 200 \\ &= 196 \end{aligned}$$

(b)

$$\frac{17}{25} \times 100 = 68\%$$

4) Note that both functions are linear. However for (b), the intercept point starts at a negative number.



5) Using the summation operator:

(a)

$$\sum_{i=1}^5 x_i = 3 + 1 + 4 + 6 + 8$$

$$= 22$$

(b)

$$\frac{1}{n} \sum_{i=1}^5 x_i^2 = \frac{1}{5} (3^2 + 1^2 + 4^2 + 6^2 + 8^2)$$

$$= \frac{1}{5} (9 + 1 + 16 + 36 + 64)$$

$$= \frac{126}{5}$$

$$= 25.2$$

Chapter 1

What is Statistics

1.1 Descriptive and Inferential Statistics

You are a policy analyst of the Bahraini Ministry of Education and you have been asked to do a study on the quality of primary schools in Bahrain. You collected data on a sample of schools and inputted it into a dataset:

i	School	Type	Score
1	Ain Jaloot Primary Intermediate Girls	Female	Good
2	Abusaiba Primary Boys	Male	Bad
3	Aisha Um Al Moamneen Primary Girls	Female	Good
4	A'ali Primary Boys	Male	Good
5	Sanad Primary Girls	Female	Bad
6	Ahmed Al Fateh Primary Intermediate Boys	Male	Bad
7	Al-Budaiyya Primary Intermediate Girls	Female	Good
8	Hajer Primary Girls	Female	Bad
9	Al Imam Malek Bin Anas Primary Boys	Male	Bad
10	Al Busaiteen Primary Girls	Female	Good
11	Abu Bakr Al-Siddeeq Primary Intermediate Boys	Male	Bad
12	Al Maamoon Primary Boys	Male	Bad
13	Al-Belad Al-Qadeem Primary Girls	Female	Good
14	Al Andalus Primary Girls	Female	Good
15	East Riffa Primary Boys	Male	Good
16	Abu Alaala Almaari Primary Boys	Male	Good
17	Al-Alaa Al Hadrami Primary Boys	Male	Good
18	A'ali Primary Girls	Female	Good
19	Al Budaiya Primary Boys	Male	Good
20	Al Malikiyah Primary Intermediate Girls	Female	Good

In order to conduct your study, you summarise the information in a small table:

	Good	Bad
Boys	5	5
Girls	8	2

There are a number facts that you can use to describe your data:

- There are a total of 20 schools in your dataset.
- There are 10 boy schools in your sample.
- There are 10 girl schools in your sample.
- 50% of boys schools achieved a good score.
- 80% of girls schools achieved a good score.

This is known as **descriptive statistics**. You are simply looking at the information that was collected and describing the contents.

Now suppose you are interested to find out whether girl schools are *better* than boys schools. One primitive way to doing this is to simply compare the percentage difference of good schools based on gender. We can clearly see that

$$80\% > 50\%,$$

Based on the sample, an analyst can conclude that **all** primary girl schools in Bahrain are higher quality than **all** boy schools.

This analysis is known as **inferential statistics**. You have analysed your sampled data and drawn a conclusion on all schools in Bahrain.

Activity 1:

You currently work as a strategist for Batelco. Explain whether the following tasks are considered **descriptive** or **inferential** statistics:

- (a) The average network engineer works for 1.5 years before leaving the company.

- (b) Based on a sample of customers, 68% said they would not switch their service, which means that most people are happy with the service.

Solution

- (a) The qualifies as **descriptive** statistics, because we are simply talking about the data collected from network engineers.
- (b) The qualifies as **inferential** statistics, since you are analysing the response from a sample of customers.

1.2 Sample and Population

An important fact to consider is that your analysis is only based on 20 schools. Suppose that three other Ministry of Education employees also did their own investigations and collected the following data from 20 schools each:

Sample X			Sample Y			Sample Z		
	Good	Bad		Good	Bad		Good	Bad
Boys	4	6	Boys	5	5	Boys	6	4
Girls	9	1	Girls	7	3	Girls	8	2

Even though they all have different numbers, the overall story remains the same. It seems that based on the sample of schools, each investigator can make an inference that primary girls schools are better than primary boys schools.

These are known as **samples**. They represent parts of the overall total of primary schools across Bahrain.

Suppose you now go and collect data on **all** 130 primary schools in Bahrain. You find the following information:

	Good	Bad
Boys	53%	47%
Girls	96%	4%

Since you have collected this information from all 130 schools, then we say that this dataset is the **population** of primary schools in Bahrain.

An important point to keep in mind is that inferential statistics allows us to draw a conclusion about the population based on a sample.

1.3 Types of Variables

In order to assess whether a public school is good or bad, you need to base your conclusion a set of variables. For example:

- Funding received from the government.
- Number of teachers and students.
- Number of classrooms
- Classroom size.
- Exam scores.
- Number of air conditioners.

These are examples of quantitative variables. That is, the data that you record will be inputted as numbers.

School	Funding (BD)	Students	Teachers	Classrooms	Class Size	Avg. Exam Score (%)	A/Cs
School 1	450,000	600	45	25	24	78	32
School 2	520,000	750	50	30	25	84	38
School 3	380,000	480	35	20	24	71	25
School 4	600,000	800	55	32	25	89	40

You should be aware that there are two types of quantitative variables: **continuous** and **discrete**.

Continuous variables can be described as numbers that can value within a range. For example, the amount of money received by a school in 2026 can 2.6 Million BD or the average score of the mathematics exam was 67.3%.

Discrete variables can be described as those that can counted. For example, a school can be 50 teachers, 100 classrooms and each classroom can have 2 ACs. A school **cannot** have 100.5 classrooms or 50.3 teachers or 0.5 ACs. This is what makes it a discrete variable.

Data can also be **qualitative**. This means that the data collected is some descriptive measure and not something measurable. For example:

- City where the school is located.
- The education degree of the principal.
- If there is a requirement to wear uniforms.

School	City	Principal's Degree	Uniform Required
School 1	Manama	Bachelor's	Yes
School 2	Riffa	Master's	Yes
School 3	Muharraq	PhD	No
School 4	Hamad Town	Master's	Yes

1.4 Levels of Measurement

Both quantitative and qualitative data can be categorised by four levels of measurement:

Level of Measurement	Description	Examples
Nominal	Data may only be classified into different categories.	Employee department; Firm's industry; School type
Ordinal	Data are classified into categories that can be ranked or ordered.	Customer satisfaction; Credit rating; Performance in a Class
Interval	Data are ordered and the differences between values are meaningful.	Temperature in degrees Celsius; Calendar years
Ratio	Data have meaningful differences between values and a meaningful zero point.	Employee salary; Sales; Number of employees; School enrolment

One way to identify the difference between interval and ratio is to ask if *is zero a genuine absence of the measured quantity?*.

Only ratio requires zero to be a proper "zero". For example, 0 BD, 0 employees, 0 students in a classroom, where the zero is properly understood. However, 0°C does not literally mean "no temperature" and "Year 0" does not literally mean "no years".

1.5 Ethics in Statistics

We conclude this chapter by informing students that statistics can easily be manipulated or misrepresented. As a statistician, you must try to collect data in principled way.

- Make sure you collect a proper representative sample.
- Do not omit relevant statistics.
- Do not let bias impact your collection.

Activity 3

Explain how each scenario impacts the school study.

- (a) You only collect data on schools from high-income neighbourhoods.
- (b) You notice that teachers in boy's schools get paid much less compared to girl's schools, but cannot collect the data.
- (c) The principal only lets you interview teachers with high evaluations.

Solution:

- (a) By omitting schools from low-income areas, your sample is not representative of the population. The average scores, performance and ranks of the schools will be higher than what is true.
- (b) Its possible that because teachers in boy's schools get paid less, they are not as good as teachers in girl's schools. This is probably useful information that can explain the difference in performance that you would report to the ministry of education.
- (c) Your data will be biased because you are only getting information from teachers that perform well in the school. Low-performing teachers will not be considered and so you will improperly rank these schools.

1.6 Problem Set

1) For each of the following statements, identify whether it is an example of **descriptive statistics** or **inferential statistics**.

- (a) A company records the salaries of all 50 of its employees and reports that the average salary is BD 850 per month.
- (b) A supermarket surveys 100 customers and uses the results to estimate the percentage of all its customers who are satisfied with its service.
- (c) The monthly sales of a business are recorded for the past 12 months and presented using a line graph.
- (d) A researcher surveys 500 households in Bahrain and uses the results to estimate the average household income of all households in Bahrain.
- (e) A university reports that 72% of the 200 students who completed a survey were satisfied with their course.
- (f) A shop records the amount spent by 150 customers on a particular day and calculates a average expenditure of BD 12.
- (g) A researcher examines a sample of 100 firms and concludes that larger firms tend to employ more workers than smaller firms in the wider population of businesses.

2) Consider the below cases and specify the **type** (qualitative or quantitative) and **level** (nominal, ordinal, interval, ratio) for each measure:

- (a) Eye Colour.
- (b) Rank in a class room.
- (c) Temperature.
- (d) Annual Salary.

Specify an example of a data point for each case.

1.7 Solutions

1)

- (a) A company records the salaries of all 50 of its employees and reports that the average salary is BD 850 per month. **DESCRIPTIVE.**
- (b) A supermarket surveys 100 customers and uses the results to estimate the percentage of all its customers who are satisfied with its service. **INFERENTIAL.**
- (c) The monthly sales of a business are recorded for the past 12 months and presented using a line graph. **DESCRIPTIVE.**
- (d) A researcher surveys 500 households in Bahrain and uses the results to estimate the average household income of all households in Bahrain. **INFERENTIAL.**
- (e) A university reports that 72% of the 200 students who completed a survey were satisfied with their course. **DESCRIPTIVE.**
- (f) A shop records the amount spent by 150 customers on a particular day and calculates a average expenditure of BD 12. **DESCRIPTIVE.**
- (g) A researcher examines a sample of 100 firms and concludes that larger firms tend to employ more workers than smaller firms in the wider population of businesses. **INFERENTIAL.**

2)

- (a) Eye colour: Brown, blue, green.

Eye colour is a **qualitative** variable because its values represent categories rather than numerical quantities. It has a **nominal** level of measurement because there is no natural ordering of the categories. For example, brown cannot meaningfully be ranked above or below blue or green.

- (b) Class Rank: 1st place, 2nd place,...

Class rank is a **qualitative** variable with an **ordinal** level of measurement. Although numbers are used to represent the ranks, these numbers indicate positions rather than numerical quantities. We can place the observations in a meaningful order: a student ranked 1st is ahead of a student ranked 2nd, who is ahead of a student ranked 3rd.

However, the differences between ranks are not meaningful numerical distances. For example, the difference between 1st and 2nd place is not necessarily equivalent to the difference in performance between 2nd and 3rd place.

(c) Temperature: 18° C

Temperature measured in degrees Celsius is a **quantitative** variable because its values represent measurable numerical quantities. It has an **interval** level of measurement because differences between values are meaningful. For example, the difference between 10°C and 20°C is the same temperature difference as between 20°C and 30°C.

However, Celsius does not have a meaningful zero point. A temperature of 0°C does not represent the absence of temperature. Consequently, ratios are not meaningful: we cannot say that 20°C is “twice as hot” as 10°C.

(d) Annual Salary: 1000 BD

Annual salary is a **quantitative** variable because it represents a measurable numerical quantity. It has a **ratio** level of measurement because differences between values are meaningful and there is a meaningful zero point. An annual salary of BD 0 represents no salary income.

Ratios are therefore also meaningful. For example, an annual salary of BD 20,000 is twice an annual salary of BD 10,000.

Chapter 2

Describing Data: Frequency Tables and Graphs

In this chapter, we are interested in the various ways in which we can present qualitative and quantitative data.

2.1 Qualitative Data

2.1.1 Frequency Table

The Bahraini Minister of Urban Planning has received a complaint that petrol station queue times are very long. The minister asks you to collect data on all petrol stations in order to conduct a study.

After collecting 180 entries, your dataset is shown as below:

i	Petrol Station Name	Town	Governorate
1	Al Fateh Service Station	Manama	Capital
2	Bapco Energies Station – Muharraq	Muharraq	Muharraq
3	Bapco Energies Station – Sanabis	Sanabis	Capital
4	Salmabad Service Station	Salmabad	Northern
5	Galali Petrol Station	Galali	Muharraq
6	Al Buhair Petrol Station	Riffa	Southern
$\vdots$			
180	Hajjyat Petrol Station 180	Riffa	Southern

There are various ways to present this data to the minister. One way is to construct a frequency table.

A **Frequency Table** is a grouping of qualitative data into mutually exclusive and collectively exhaustive classes showing the number of observations in each class.

Mutually Exhaustive implies that each observation falls on only one class.

Collectively Exhaustive implies that there is a class for every value.

An *observation* refers to a row in your dataset. For example, East Riffa Petrol Station is one observation in your dataset.

Let us start with a basic analysis and find out how many petrol stations are available in each governorate:

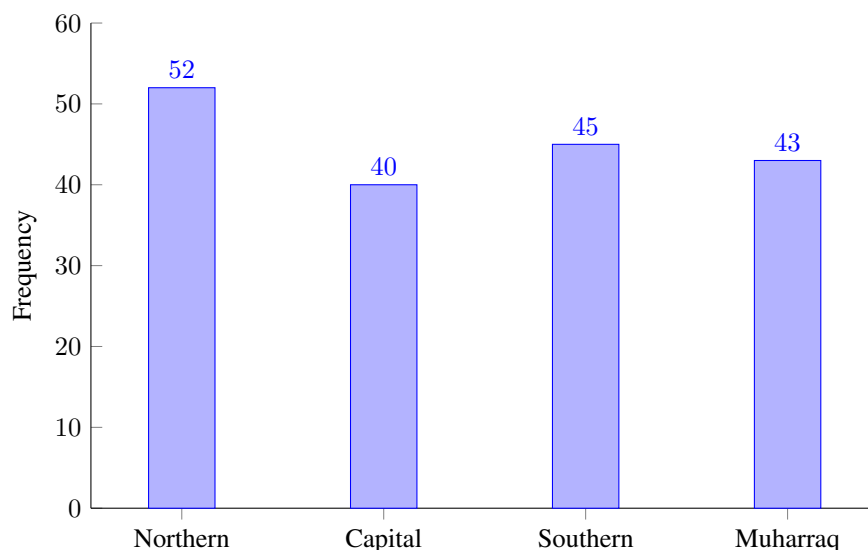
Governorate	Frequency
Northern	52
Capital	40
Southern	45
Muharraq	43
Total	180

This is a simple way of presenting this information to the Minister. Notice that there are 4 governorates: Northern, Capital, Southern and Muharraq. For the frequency table, we call each of these categories as **classes**. We call this a frequency table because it shows the total amount of **observations** for each **class**. For example, there are 40 petrol stations in the Capital governorate.

2.1.2 Bar Chart

You can take your dataset on petrol stations and display it in a **bar chart**. This is when we have the frequency of the data on the vertical axis while each class is represented by a bar on the horizontal axis.

Figure 2.1: Frequency of Petrol Stations by Governorate



The bar chart is informative because it immediately reveals the class with the highest frequency.

We will learn later that the **mode** of this dataset is the class which has the highest frequency. In this case, it is the capital governorate.

2.1.3 Pie Chart

It is probably more informative to display this information with the **share** of each class to the overall total. To do this, we simply divide the number of petrol stations from each class with the total. We call this the **relative frequency**.

$$\text{Relative Frequency} = \frac{\text{Frequency}}{\text{Total Frequency}}$$

Since there are a total of 180 petrol stations, we can arrive at the following result:

Governorate	Frequency	Calculation	Relative Frequency
Northern	52	$\frac{52}{180}$	0.289
Capital	40	$\frac{40}{180}$	0.222
Southern	45	$\frac{45}{180}$	0.250
Muharraq	43	$\frac{43}{180}$	0.239
Total	180	$\frac{180}{180}$	1.000

You can use this information to construct a **pie chart**. This displays the relative frequency of each class.

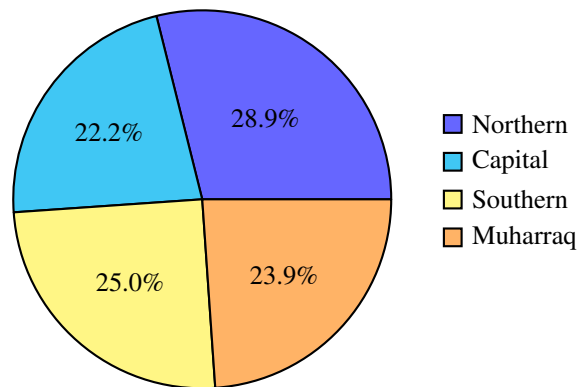


Figure 2.2: Petrol Stations by Governorate

Here, each *slice* of the chart represents a class. For example, 22.2% of the petrol stations in your dataset is from the Capital governorate.

Activity 1:

Bahrain City Center has the following aggregated information about types of stores in their mall:

Store Type	Frequency
Clothing and Fashion	70
Food and Beverage	45
Electronics	20
Health and Beauty	30
Home and Furniture	15
Entertainment and Leisure	20
Total	200

- Create an additional column representing the relative frequency.
- Display the totals of each class in a bar chart.
- Display the relative frequency of each class in a pie chart.

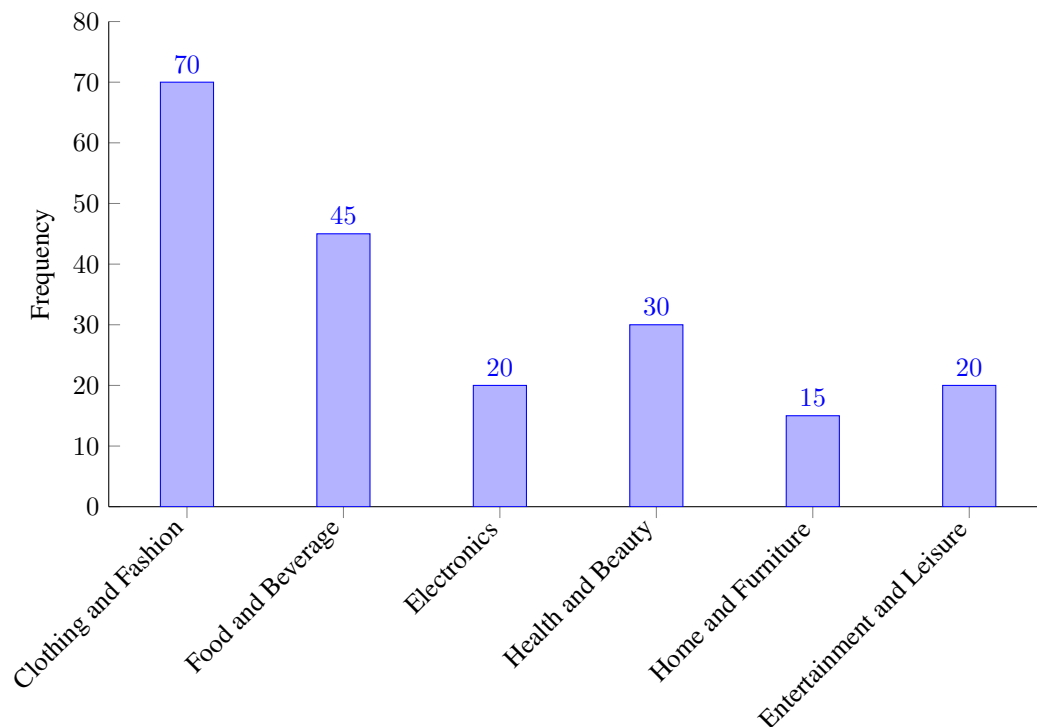
Solution:

- To create the relative frequency column, we first get the total number of store in City Center. we then divide the frequency of each class with the total number of stores.

Store Type	Frequency	Relative Frequency
Clothing and Fashion	70	0.350
Food and Beverage	45	0.225
Electronics	20	0.100
Health and Beauty	30	0.150
Home and Furniture	15	0.075
Entertainment and Leisure	20	0.100
Total	200	1.000

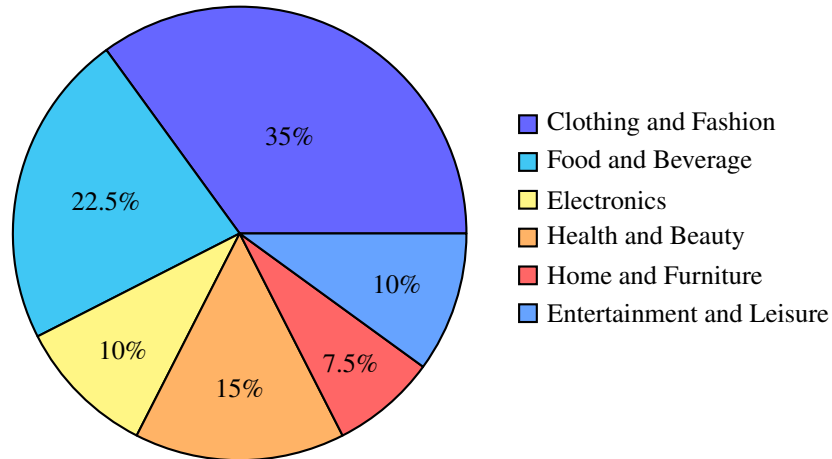
(b) We can display the totals in a bar chart:

Figure 2.3: Frequency of Stores by Type



(c) We can display the relative frequency in a pie chart:

Figure 2.4: Relative Frequency of Stores by Type



2.2 Quantitative Data

Previously, we worked with displaying qualitative data as classes in a frequency table. This means that each class was some qualitative category, like the governorate or the type of store in a mall. In this section, we will study a similar analysis, except this time the classes will be quantitative data.

2.2.1 Frequency Table

Consider a dataset on the sale of cars for the Toyota Showroom in September 2026:

Transaction Number	Sales Value (BD)
1	15,520
2	23,590
3	19,190
4	27,530
5	24,360
6	20,310
⋮	
180	30,380

Sales data can have many observations. It would be useful to create a frequency table to properly summarise this information. Just as before, we need to create a set of groups (classes). However, since we only have quantitative data, we would need to create the class based on an **interval of values**.

Suppose we created the frequency of transactions under these classes:

- 2,000 up to 12,000
- 12,000 up to 24,000
- 24,000 up to 34,000

That is, there are three classes, and each one has a width of 10,000 BD:

Interval Class (BD)	Frequency
2,000 up to 12,000	5
12,000 up to 24,000	75
24,000 up to 34,000	100
Total	180

This is how we would display a frequency table with quantitative data classes. There are 5 transactions that are valued in the first class, 75 transactions in the second class, and 100 transactions in the third class.

We arbitrarily selected very few classes to represent the dataset. Depending on the context of your study, you can also have many classes:

Interval Class (BD)	Frequency
2,000 up to 4,500	1
4,500 up to 7,000	0
7,000 up to 9,500	1
9,500 up to 12,000	3
12,000 up to 14,500	5
14,500 up to 17,000	10
17,000 up to 19,500	13
19,500 up to 22,000	22
22,000 up to 24,500	35
24,500 up to 27,000	24
27,000 up to 29,500	31
29,500 up to 32,000	29
32,000 up to 34,500	6
34,500 up to 37,000	0
Total	180

Now this shows that there are 14 classes, where each interval has a width of 1500 BD.

You should know that when deciding on the number of classes and the choice of interval width, we can follow a rule of thumb to construct the optimal amounts.

2.2.2 Constructing the Optimal Frequency Distribution

You need to decide on **the number of classes** and the **width of the interval** for each class. In order to do this, you need three details about your dataset:

- The total number of observations n .
- The minimum value of your variable in the dataset min.
- The maximum value of your variable in the dataset max.

The Number of Classes

Use the following rule:

$$2^k > n$$

where k is the number of classes and n is the total observations in your dataset.

Keep choosing different values of k until the equality is satisfied.

Width of the Interval

To determine the optimal interval, we use the following rule:

$$i = \frac{\max - \min}{k}$$

max and min are the largest and smallest values of the variable in your dataset. We normally round i to the nearest whole number or a convenient multiple of 10, 100, 1000, etc.

Activity 2: Consider the sales data regarding Toyota's showroom. We are given the following details:

- $n = 180$
- $\min = 2,940$ BD
- $\max = 32,920$ BD

Calculate the optimal number of classes k and interval i using the rules described earlier.

Solution:

For the number of classes, we need to satisfy the rule:

$$2^k > n$$

Since there are $n = 180$ observations, we can test for values of k until the equality is just satisfied.

For example, if $k = 7$:

$$2^7 = 128 < 180$$

which does not satisfy the condition. However if we do $k = 8$:

$$2^8 = 256 > 180$$

Therefore, $k = 8$ is the recommended number of classes.

As for the interval width, we need to simply compute:

$$i = \frac{\max - \min}{k}$$

$$i = \frac{39290 - 2940}{8} = 4543.75$$

We can round this to the nearest whole number to get to 4,500.

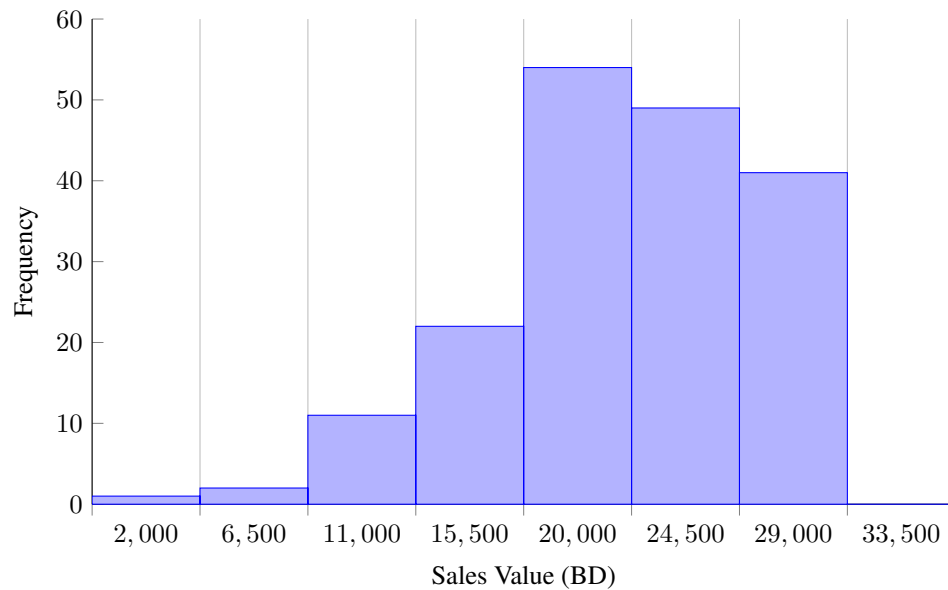
Now that we know how to calculate the optimal number of classes and interval width, we can display this information in a frequency table:

Interval Class (BD)	Frequency
2,000 up to 6,500	1
6,500 up to 11,000	2
11,000 up to 15,500	11
15,500 up to 20,000	22
20,000 up to 24,500	54
24,500 up to 29,000	49
29,000 up to 33,500	41
33,500 up to 38,000	0
Total	180

2.2.3 Histogram

We can take our optimised frequency table and display it in a **histogram**. This is very similar to a **bar chart**, where the vertical axis is the frequency and the horizontal axis represents the class intervals:

Figure 2.5: Distribution of Car Sales Values



2.2.4 Frequency Polygon

Another way to display quantitative data is through a **frequency polygon**. This is when the vertical axis has the frequency, but the horizontal axis is represented by the **midpoint** of every interval.

Midpoint of an Interval

To calculate the midpoint, simply apply the below formula for each interval class:

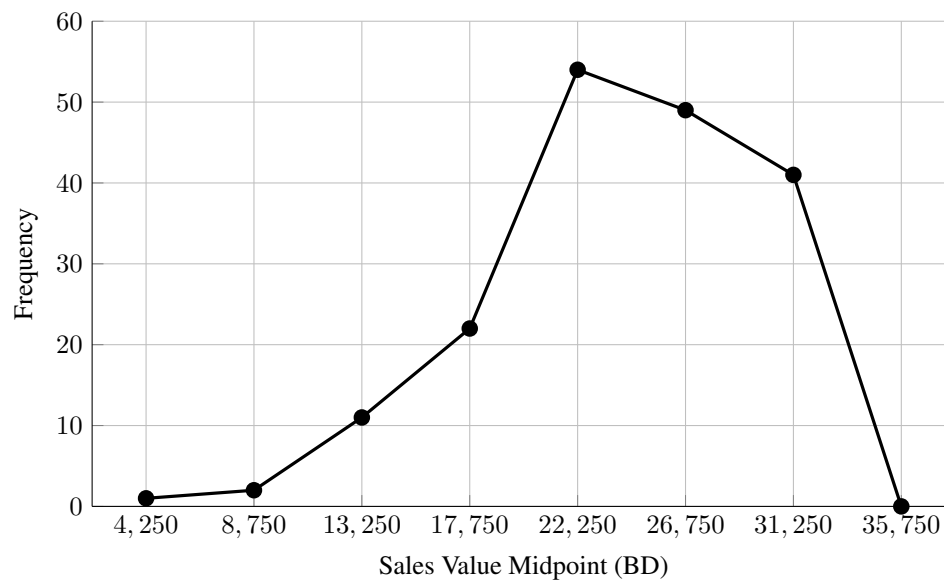
$$\frac{\text{Lower Bound} + \text{Upper Bound}}{2}$$

Using the car sale data:

Interval Class (BD)	Midpoint (BD)	Frequency
2,000 up to 6,500	4,250	1
6,500 up to 11,000	8,750	2
11,000 up to 15,500	13,250	11
15,500 up to 20,000	17,750	22
20,000 up to 24,500	22,250	54
24,500 up to 29,000	26,750	49
29,000 up to 33,500	31,250	41
33,500 up to 38,000	35,750	0

The frequency polygon can therefore be plotted:

Figure 2.6: Frequency Polygon of Car Sales Values



2.2.5 Relative Frequency

Similar to the previous section, we can also construct relative frequency distributions. Remember that the way to create this is take the total count of each class and divide it by the total number across all classes:

$$\text{Relative Frequency} = \frac{\text{Frequency}}{\text{Total Frequency}}$$

Interval Class (BD)	Frequency	Calculation	Relative Frequency
2,000 up to 6,500	1	$\frac{1}{180}$	0.006
6,500 up to 11,000	2	$\frac{2}{180}$	0.011
11,000 up to 15,500	11	$\frac{11}{180}$	0.061
15,500 up to 20,000	22	$\frac{22}{180}$	0.122
20,000 up to 24,500	54	$\frac{54}{180}$	0.300
24,500 up to 29,000	49	$\frac{49}{180}$	0.272
29,000 up to 33,500	41	$\frac{41}{180}$	0.228
33,500 up to 38,000	0	$\frac{0}{180}$	0.000
Total	180	$\frac{180}{180}$	1.000

2.2.6 Cumulative Frequency

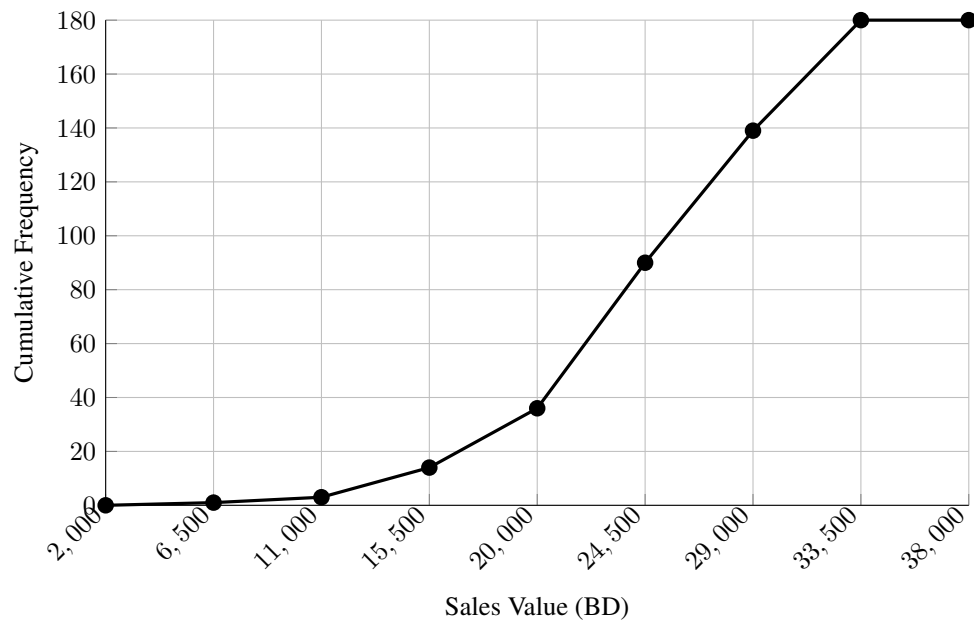
A cumulative frequency graph is one way of illustrating quantitative data across classes. Consider again the frequency graph for Toyota car sales:

Interval Class (BD)	Frequency
2,000 up to 6,500	1
6,500 up to 11,000	2
11,000 up to 15,500	11
15,500 up to 20,000	22
20,000 up to 24,500	54
24,500 up to 29,000	49
29,000 up to 33,500	41
33,500 up to 38,000	0
Total	180

The cumulative frequency is simply the addition of each row:

Interval Class (BD)	Frequency	Calculation	Cumulative Frequency
> 6,500	1	1	1
> 11,000	2	1 + 2	3
> 15,500	11	3 + 11	14
> 20,000	22	14 + 22	36
> 24,500	54	36 + 54	90
> 29,000	49	90 + 49	139
> 33,500	41	139 + 41	180

We can display this in a graph where the cumulative frequency is on the vertical axis and the class in on the horizontal axis:



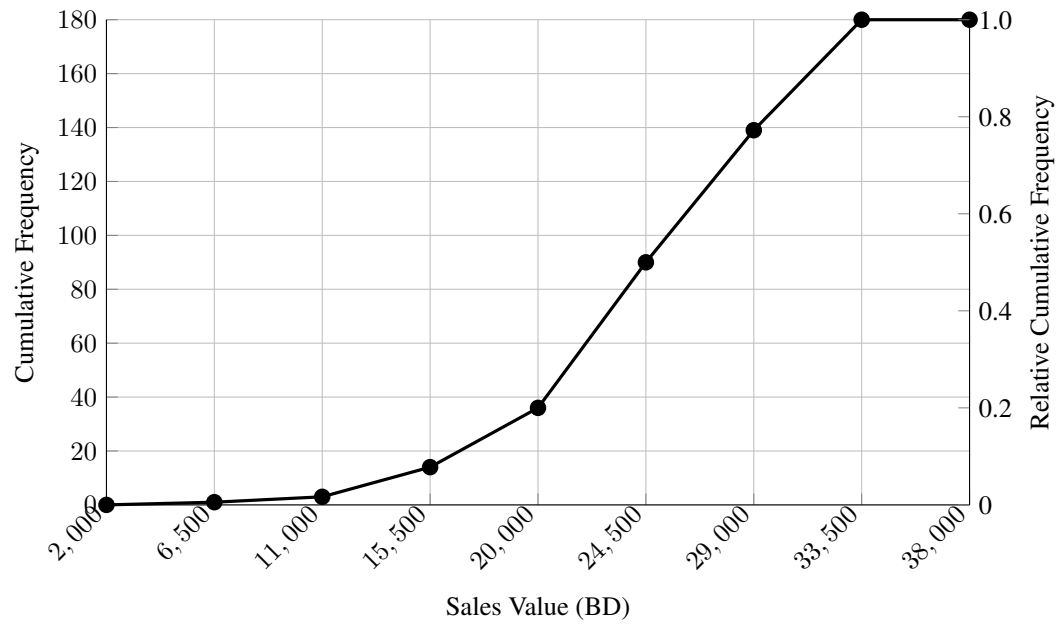
You can also gather the cumulative relative frequency to asses the contribution of each class.

$$\text{Relative Cumulative Frequency} = \frac{\text{Cumulative Frequency}}{\text{Total Frequency}}$$

Interval (BD)	Cumulative Frequency	Calculation	Relative Cumulative Frequency
< 6,500	1	$\frac{1}{180}$	0.006
< 11,000	3	$\frac{3}{180}$	0.017
< 15,500	14	$\frac{14}{180}$	0.078
< 20,000	36	$\frac{36}{180}$	0.200
< 24,500	90	$\frac{90}{180}$	0.500
< 29,000	139	$\frac{139}{180}$	0.772
< 33,500	180	$\frac{180}{180}$	1.000

An illustration in which we have the cumulative frequency and the relative cumulative frequency is called an Ogive:

Figure 2.7: Cumulative Frequency Distribution of Car Sales Values



Chapter 3

Chapter 3: Describing Data: Numerical Measures

In this chapter, we are interested in the various methods a researcher needs to know to extract basic details of their dataset. We will study about the mean, median, mode, range, variance and the standard deviation.

3.1 Measures of Location

Consider a **sample** of Bahraini public schools, in which you have acquired the average math grade of each school:

School i	Average Mathematics Grade x	Governorate
School 1	87	Capital
School 2	58	Muharraq
School 3	46	Muharraq
School 4	48	Southern
School 5	80	Capital
School 6	67	Northern
School 7	75	Capital
School 8	67	Capital
School 9	82	Southern

We are interested in various ways to calculate the **measures of location**.

3.1.1 Mean

In order to calculate the mean of the **sample**, we apply the formula:

$$\bar{x} = \frac{\sum x_i}{n}$$

where n is the number of observations and $\sum x_i$ is the addition of all grades in your dataset.

Following from this, we calculate the result as:

$$\bar{x} = \frac{87 + 58 + 46 + 48 + 80 + 67 + 75 + 67 + 82}{9} = 67.7$$

The mean is also called the average of your variable.

Notice that when calculating the mean, we are using all the data values to come up with the final result. Although you should keep in mind that the mean is weak when the dataset has extreme values.

Before leaving this section, you should know that we are dealing with a **sample** of our dataset, the way we denote the average is by using $\bar{x}$. However, when our dataset is the **population**, then we simply denote it in a different way:

$$\mu = \frac{\sum x_i}{N}$$

The only difference here is that we use the Greek letter μ instead of $\bar{x}$ and that we denote the number of observations with capital N rather than small n .

Activity:

The *school_math.xlsx* file contains average math scores for all the schools in the country. Use this data to compute the population average.

Note: the excel function to use is =AVERAGE().

Solution:

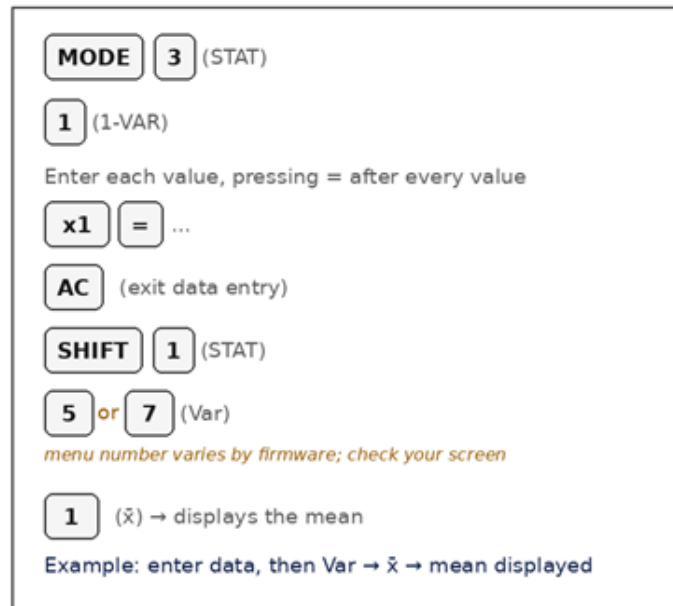
On excel, click on any empty cell and type: =AVERAGE().

In the brackets, simply select the entire column of the variable AvgMath.

For $N = 800$, we compute the population mean as:

$$\mu = 71$$

You should know that you can use your calculator to compute the mean using the following commands:

Finding the Mean — fx-991ES PLUS**3.1.2 Median**

The median is simply the midpoint of the values in the dataset. In order to do this, you would need to arrange the numbers from lowest to highest.

Initially, the dataset shows the following values:

$$87 + 58 + 46 + 48 + 80 + 67 + 75 + 67 + 82$$

Now we re-arrange it from lowest to highest:

$$46 + 48 + 58 + 67 + 67 + 75 + 80 + 82 + 87$$

The median is the value that is in the middle of the dataset. Since there is 9 data points, then the 5th data point is the median, which is 67.

The median is a useful measure because it is not impacted by extreme outliers. Essentially, 50% of the data is above and below the median.

Notice in the current example, there are 9 data points. In the event that we have an odd number of data points, then we simply select the middle data value. However, if it is an even number of values, then we need to take the average of the middle values.

Activity: Consider the below sample of car sales for the Toyota showroom:

3000 3500 2100 9400 6400 7450

Find the median of the sample values.

Solution:

We first arrange the numbers in order:

2100 3000 3500 6400 7450 9400

Since there are 6 data points, which is an even number, then we need to take the 3rd and 4th data point and take its

average:

$$\frac{3500 + 6400}{2} = 4950$$

This demonstrates how to get the median for an even numbered sample.

3.1.3 Mode

The mode of a dataset is simply the value that occurs most frequently.

Using our math data from Bahraini schools:

$$87 + 58 + 46 + 48 + 80 + 67 + 75 + 67 + 82$$

In this case, 67 is the mode of this dataset. Note that it is certainly possible to have more than one mode in a dataset or no mode at all.

3.1.4 Weighted Mean

We can mix the approach of the mean and the mode by using the weighted mean. In this case, we take the average of the sample values but we weight it based on how many observations have the same value.

The weighted mean is calculated as:

$$\bar{X}_W = \frac{\sum xw}{w} = \frac{w_1x_1 + w_2x_2 + \dots + w_nx_n}{w}$$

where x_i is the data value while w_i is the amount of times the value appears in the dataset.

Activity: Akhbar Al Khaleej is a newspaper company and printing press in Bahrain. They have 26 factory workers and they are paid the following hourly wages:

- 14 employees are paid 16.50 BD per hour.
- 10 employees are paid 19.00 BD per hour.
- 2 employees are paid 25.00 BD per hour.

Calculate the weighted mean.

Solution:

We need to weigh the data values based on how often they appear in the dataset. In this case:

$$\bar{X}_W = \frac{14(16.5) + 10(19) + 2(25)}{14 + 10 + 2} = \frac{471}{26} = 18.12$$

3.1.5 Geometric Mean

Consider the GDP of Bahrain for the past 5 years:

Year	GDP Growth	GDP Growth Ratio
2021	14.0%	0.14
2022	13.7%	0.137
2023	−0.5%	−0.005
2024	2.2%	0.022
2025	3.7%	0.037

Let us say we are interested in Bahrain's average GDP growth over these years. It would simply be:

$$\begin{aligned}\bar{x} &= \frac{0.14 + 0.137 - 0.005 + 0.022 + 0.037}{5} \\ &= \frac{0.330}{5} \\ &= 0.066\end{aligned}$$

which means Bahrain's economy grew on average by 6.6%.

One thing to consider is that Bahrain's GDP is likely correlated across the years. This means that if GDP was high in one year, then it might lead it to be high next year as well. If it is low in one year, then it might mean that it will be low

in the next year.

In a situation in which a variable is compounded by its past values, then it is better to use the geometric mean to better approximate its average growth.

To compute the geometric mean, we need to follow these steps:

- (1) Add 1 to each growth ratio.

Year	GDP Growth	GDP Growth Ratio g	Growth Factor $(1 + g)$
2021	14.0%	0.139	1.139
2022	13.7%	0.137	1.137
2023	-0.5%	-0.005	0.995
2024	2.2%	0.022	1.022
2025	3.7%	0.037	1.037

- (2) Compute the below calculation

$$= \sqrt[n]{x_1 \cdot x_2 \cdot x_3 \cdot \dots \cdot x_n}$$

where x_i is the data values and n is the number of observations. In this case:

$$\begin{aligned} &= \sqrt[5]{1.139 \cdot 1.137 \cdot 0.995 \cdot 1.022 \cdot 1.037} \\ &= \sqrt[5]{1.366} \\ &= 1.0643 \end{aligned}$$

- (3) Subtract this value by 1 and convert it into a percentage.

$$= 1.0643 - 1$$

$$= 0.0643$$

$$= 6.43\%$$

The interpretation is that Bahrain's average annual growth rate over the years was 6.43%. We would consider this to be more accurate than the simple mean since it correctly accounts for the compounding over the years.

Example:

Consider the sales growth of Saudi Aramco's SABIC facility:

Year	Sales Growth
2001	30%
2002	20%
2003	-40%
2004	200%

Calculate the geometric mean using the steps specified in the section.

Solution:

We start by computing the growth ratio and then use that to add 1 to each observation:

Year	Sales Growth	Growth Ratio g	Growth Factor $(1 + g)$
2001	30%	0.30	1.30
2002	20%	0.20	1.20
2003	-40%	-0.40	0.60
2004	200%	2.00	3.00

We then compute the result:

$$\begin{aligned}
&= \sqrt[4]{1.30 \times 1.20 \times 0.60 \times 3.00} \\
&= \sqrt[4]{2.808} \\
&= 1.2946
\end{aligned}$$

Where we subtract by 1 and convert it to percentage:

$$\begin{aligned}
&= 1.2946 - 1 \\
&= 0.2946 \\
&= 29.46\%
\end{aligned}$$

3.2 Measures of Dispersion

In statistics, we are often interested in how the data values are spread over the sample. Measures of dispersion therefore allows us to better understand sample's distribution.

3.2.1 Range

Consider the below sample of employees from a factory producing aluminium products in Bahrain and from the UAE:

Bahrain	
<i>i</i>	Hourly Production
1	48
2	49
3	49
4	50
5	50
6	50
7	51
8	51
9	52

UAE	
<i>i</i>	Hourly Production
1	40
2	47
3	47
4	50
5	50
6	50
7	53
8	53
9	60

We are interested in calculating the range for both these samples. This is simply:

$$\text{Range} = \text{Maximum Value} - \text{Minimum Value}$$

For both factories, we get:

$$\text{BAH} = 52 - 48 = 4$$

$$\text{UAE} = 60 - 40 = 20$$

An interesting thing to keep in mind is that if you took the average production of both factories, you will get a value of 50 for both:

$$\begin{aligned}\bar{x}_{\text{Bahrain}} &= \frac{48 + 49 + 49 + 50 + 50 + 50 + 51 + 51 + 52}{9} \\ &= \frac{450}{9} \\ &= 50\end{aligned}$$

$$\begin{aligned}\bar{x}_{\text{UAE}} &= \frac{40 + 47 + 47 + 50 + 50 + 50 + 53 + 53 + 60}{9} \\ &= \frac{450}{9} \\ &= 50\end{aligned}$$

However, there is a larger **spread** for the UAE factory compared to the Bahraini factory. This is why we are interested in measuring dispersion as it tells us a different story to the data.

3.2.2 Variance and Standard Deviation

Another method to determine the dispersion is by computing the variance of a sample. This is found by using the below formula:

$$s^2 = \frac{\sum (x_i - \bar{x})^2}{n - 1}$$

We can also use this to compute the standard deviation, which is simply the square root of the variance:

$$S = \sqrt{s}$$

You can also use your calculator to calculate the sample standard deviation:

Finding Sample SD (sx) — fx-991ES PLUS

MODE

3 (STAT)

1

(1-VAR)

Enter each value, pressing = after every value

x1

=

...

AC

(exit data entry)

SHIFT

1 (STAT)

5

or

7

(Var)

menu number varies by firmware; check your screen

4

(sx) → displays the sample standard deviation

Example: enter data, then Var → sx → sample SD displayed

Activity: Consider again our example with hourly production of aluminium factories:

Bahrain

i	Hourly Production
1	48
2	49
3	49
4	50
5	50
6	50
7	51
8	51
9	52

UAE

i	Hourly Production
1	40
2	47
3	47
4	50
5	50
6	50
7	53
8	53
9	60

We know that the average of both factories is the same:

$$\bar{x}_{\text{BAH}} = \bar{x}_{\text{UAE}} = 50$$

Calculate the variance and standard deviation for both factories.

Solution:

Following from our method:

$$\begin{aligned}
 s_{\text{BAH}}^2 &= \frac{(48 - 50)^2 + (49 - 50)^2 + (49 - 50)^2 + (50 - 50)^2 + (50 - 50)^2 + (50 - 50)^2}{9} \\
 &\quad + \frac{(51 - 50)^2 + (51 - 50)^2 + (52 - 50)^2}{9} \\
 &= \frac{4 + 1 + 1 + 0 + 0 + 0 + 1 + 1 + 4}{9} \\
 &= \frac{12}{9} \\
 &= 1.33
 \end{aligned}$$

$$\begin{aligned}
s_{\text{UAE}}^2 &= \frac{(40 - 50)^2 + (47 - 50)^2 + (47 - 50)^2 + (50 - 50)^2 + (50 - 50)^2 + (50 - 50)^2}{9} \\
&\quad + \frac{(53 - 50)^2 + (53 - 50)^2 + (60 - 50)^2}{9} \\
&= \frac{100 + 9 + 9 + 0 + 0 + 0 + 9 + 9 + 100}{9} \\
&= \frac{236}{9} \\
&= 26.22
\end{aligned}$$

Similar to what we saw from the range, the Bahraini factory has a much smaller dispersion/variance compared to the UAE factory.

The standard deviation is simply the square root of the variance:

$$S_{\text{BAH}} = s_{\text{BAH}}^2 = \sqrt{1.33} = 1.15$$

$$S_{\text{UAE}} = s_{\text{UAE}}^2 = \sqrt{26.22} = 5.12$$

You should know that the smaller the standard deviation, the closer the data is to its mean, whereas the larger it is, the further away it is from the mean.

Just like the sample mean, you need to know that there is a different way to denote the **population** variance and standard deviation.

The formula for the population variance is slightly different:

$$\sigma^2 = \frac{\sum (x_i - \mu)^2}{N}$$

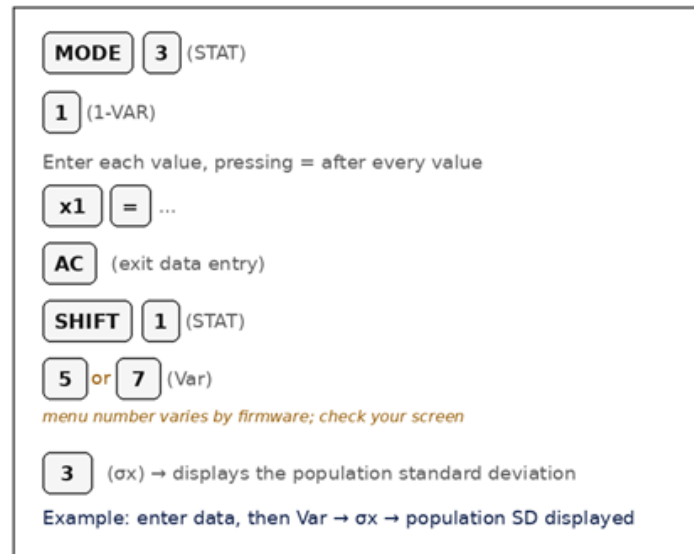
where σ is a Greek letter, but most crucially we divide it by all observations N instead of $n - 1$.

The population standard deviation is the same as before, except we denote it as:

$$\sigma = \sqrt{\sigma^2}$$

You can also use your calculator to calculate the population standard deviation:

Finding Population SD (σx) — fx-991ES PLUS



Activity:

Use the *school_math.xlsx* data to calculate the variance and standard deviation of the population of schools.

On excel, the function for population variance is =VAR.P() and the standard deviation is =STDEV.P().

Solution:

Similar to the previous example, select an empty cell in the excel sheet and input the above command. Include all the data within those brackets by selecting the column.

$$\sigma^2 = 99$$

The standard deviation is simply the square root:

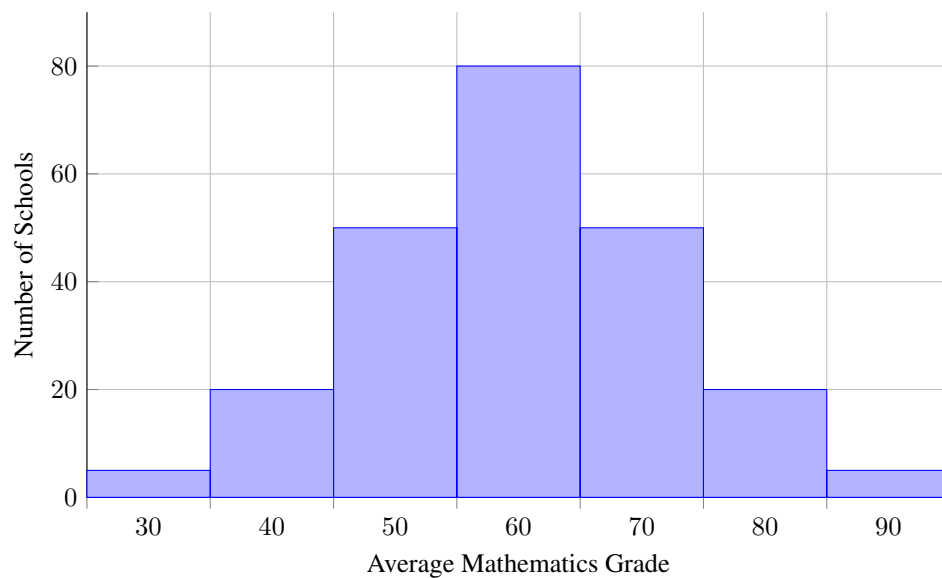
$$\sigma = \sqrt{99} = 9.95$$

3.3 The Distribution of the Data

3.3.1 The Normal Distribution

Consider again our data on average math scores. We can plot the data on a histogram:

Figure 3.1: Distribution of Average Mathematics Grades Across Schools

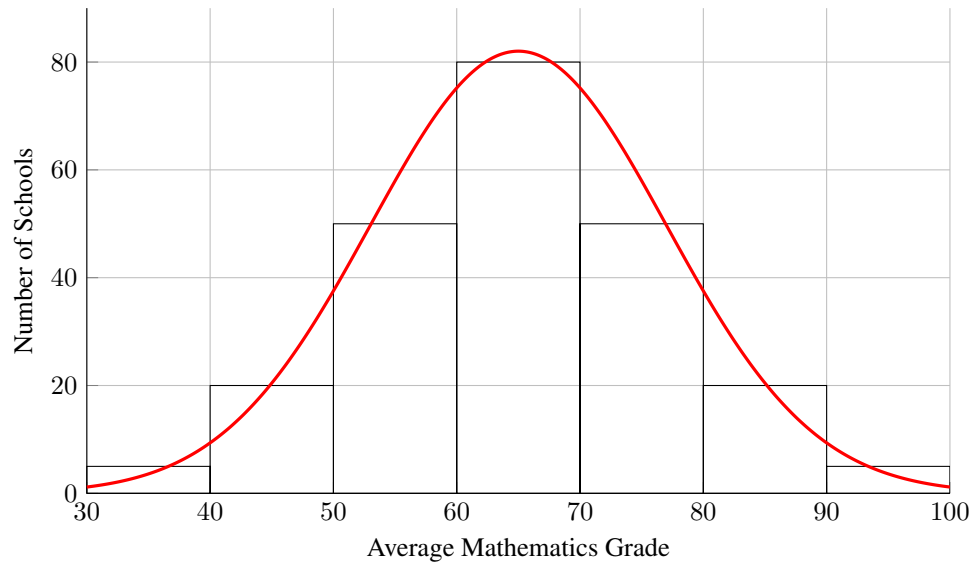


What this shows is that the largest frequency of observations is centred in the middle. That is, most schools have an average score that is between 60 and 70^a. Schools that have extremely low and extremely high average grades are very few in our observations, which is what we would expect for this dataset.

Given the shape of the distribution, we can try and draw (fit) a line around this curvature:

^aThis is basically what we saw when we computed the mean, where $\bar{x} = 67$.

Figure 3.2: Distribution of Average Mathematics Grades Across Schools

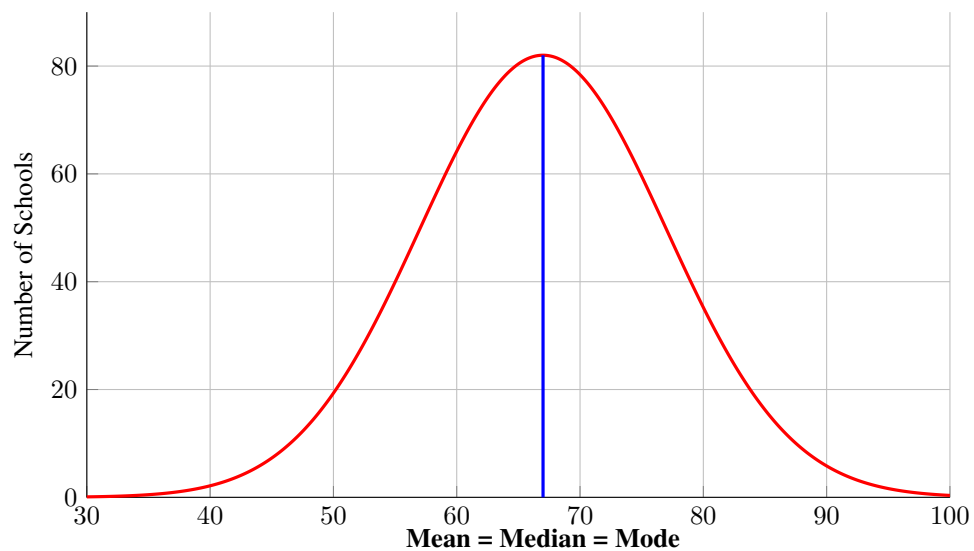


This bell-shaped curve is known as the **normal distribution**. An interesting fact about this fitted line is that the mean, median and mode all happen to be centred around the middle of the distribution.

Recall that when we conducted the measures of location for this dataset, we got:

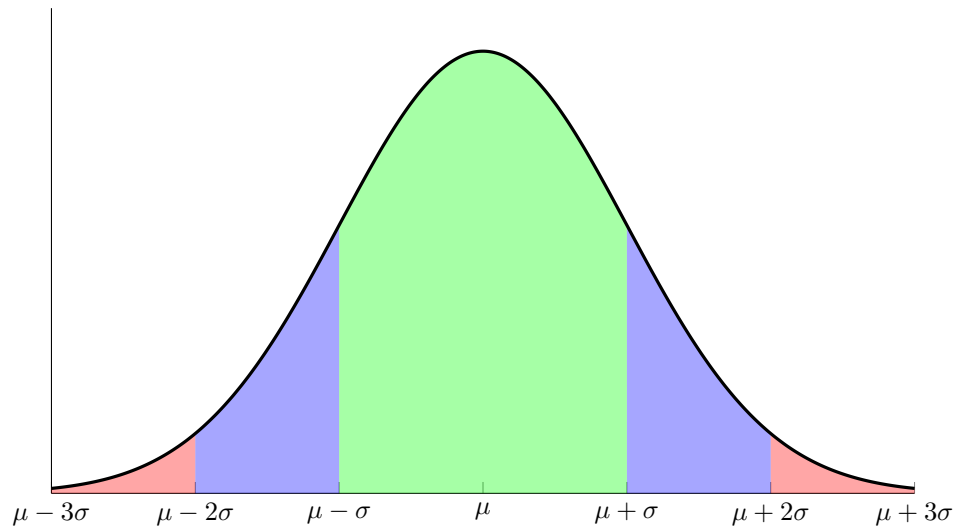
- Mean = 67.7
- Median = 67
- Mode = 67

which is basically what we are seeing in the graph:



When we are dealing with a normal distribution, it is worth keeping in mind how much of the observations are located around the distribution. This is more easily understood when considering the standard deviation.

Figure 3.3: The Empirical Rule for a Normal Distribution



This illustration shows the following fact:

- The green region represents 68% of all your observations, which is the distance between $\mu - \sigma$ and $\mu + \sigma$.
- Including the blue region represents 95% of all your observations, which is the distance between $\mu - 2\sigma$ and $\mu + 2\sigma$.
- Including the red region represents 99.7% of all your observations, which is the distance between $\mu - 3\sigma$ and $\mu + 3\sigma$.

Activity

The average mathematics grades across schools are approximately symmetric and bell-shaped. The mean mathematics grade is 67, and the standard deviation is 10.

Using the Empirical Rule, find the range of average mathematics grades that contains approximately:

- 68% of schools.
- 95% of schools.
- 99% of schools.

Illustrate the result in a plot with a normal distribution.

Solution:

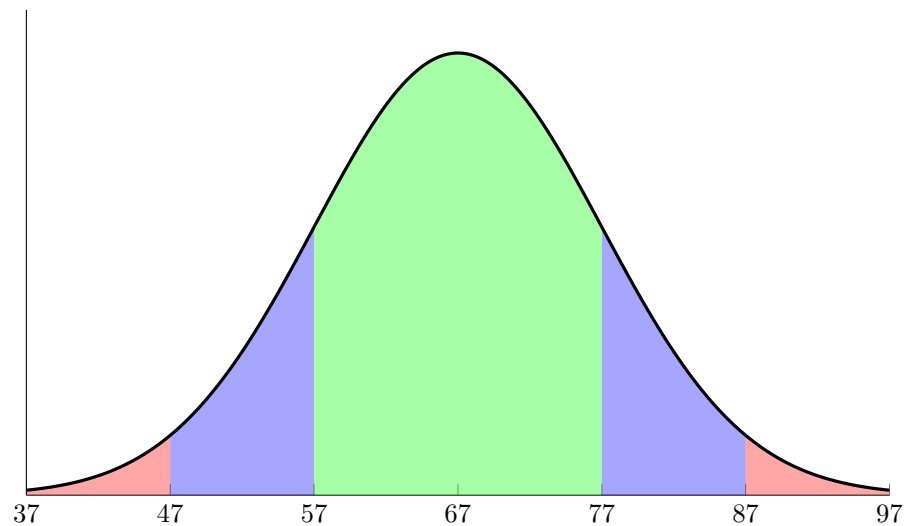
$$68\%: \quad 67 \pm 1(10) = 57 \text{ to } 77$$

$$95\%: \quad 67 \pm 2(10) = 47 \text{ to } 87$$

$$99.7\%: \quad 67 \pm 3(10) = 37 \text{ to } 97$$

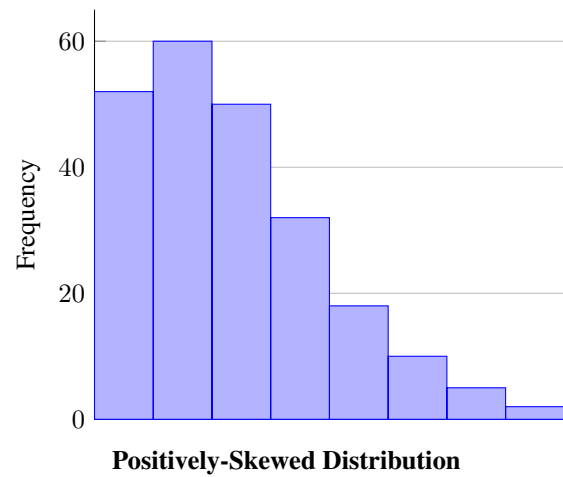
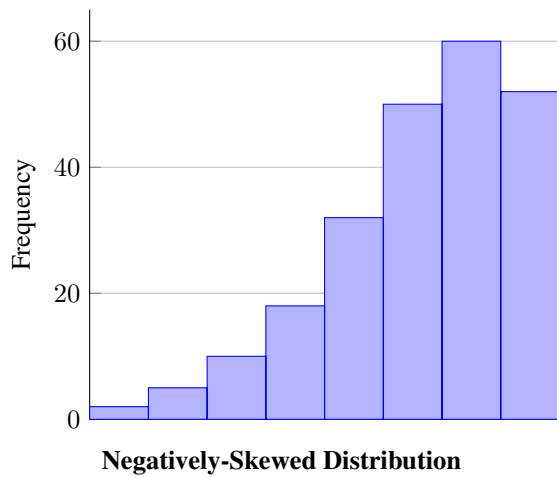
The corresponding illustration:

Figure 3.4: The Empirical Rule for a Normal Distribution of Math Scores

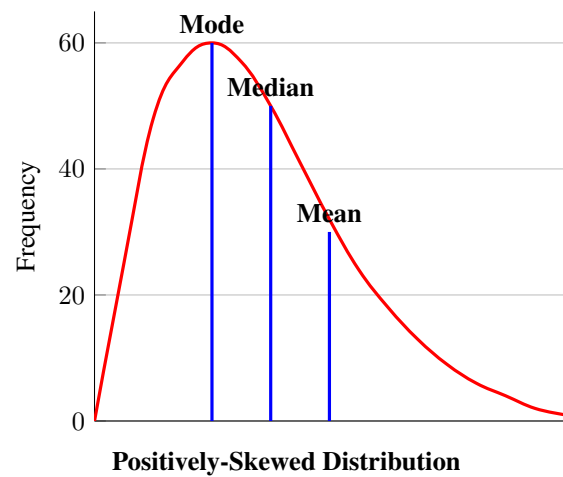
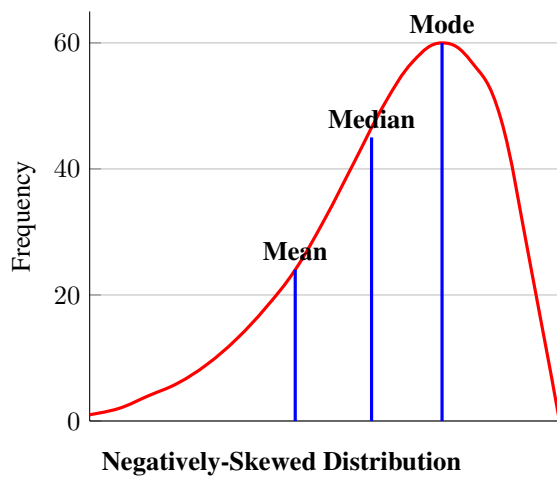


3.3.2 Skewness

Not all data is normally distributed. Sometimes, data can be skewed negatively or positively:



However do note that in these scenarios, the measures of location are not equal:



Clearly, when the skewness is positive, we can see that the mean $\neq$ median. When the skewness is negative, the median $\neq$ mean.

The problem is that when the distribution is not normal, we cannot use the empirical rule to determine where the percentage of observations are located^b.

In this scenario, it is possible to use the **Chebyshev's Theorem** to determine the proportion of values within some k standard deviations around the mean.

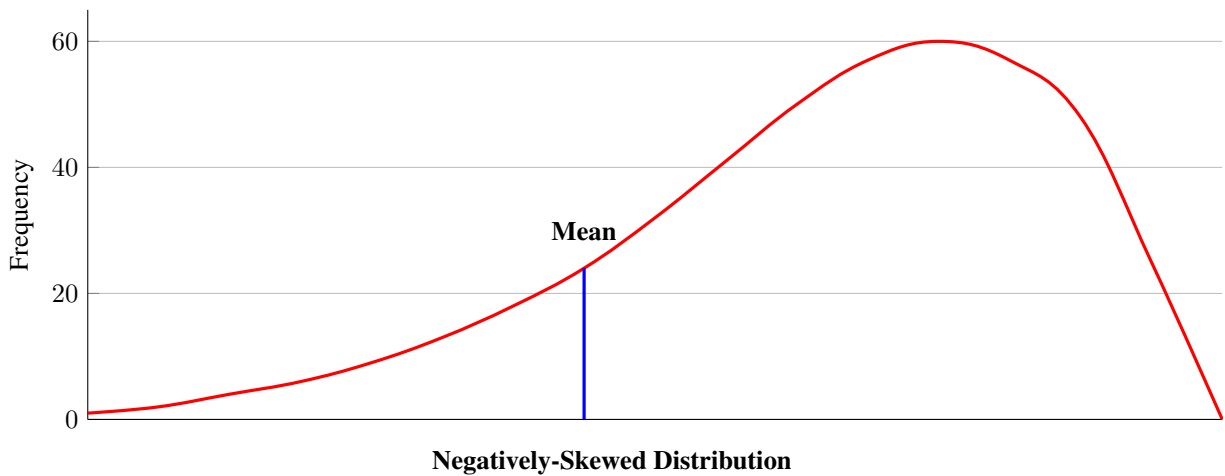
The Chebyshev Theorem is simply:

^bThat is, when we have a non-normal distribution, we cannot say that 68% of observations are around 1 standard deviation from the mean, and 95% of observations are 2 standard deviations from the mean, etc.

$$1 - \frac{1}{k^2}$$

where k is the standard deviation. By inserting any value of $k > 1$, you will get the approximate percentage amount of observations that is included in that standard deviation.

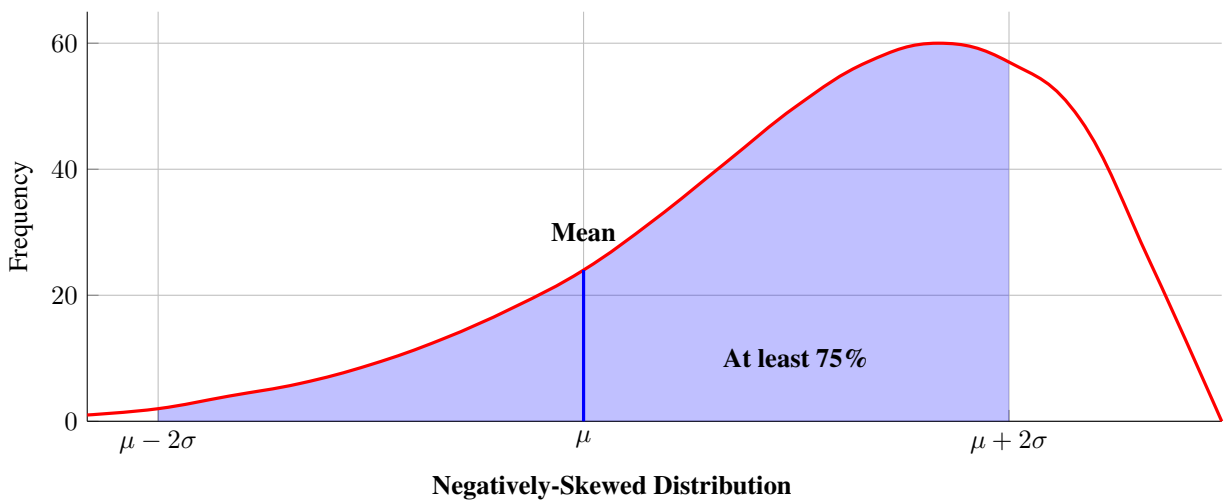
Consider our negatively-skewed distribution (which is clearly not normally distributed):



Let us saying we are interested to know the amount of observations that are located in 2 standard deviations around the mean. This means $k = 2$:

$$1 - \frac{1}{2^2} = 0.75$$

which means that 75% of the data lies between 2 standard deviations of the distribution.



Activity:

Determine the amount of observations located around 3 standard deviations from the mean assuming a non-normal distribution.

Solution:

When the distribution is not normal, we use Chebyshev's theorem. Since we want to know how many observations are located around 3 standard deviations from the mean, we set $k = 3$:

$$1 - \frac{1}{3^2} = 0.889$$

which means 88.9% of the data is located within 3 standard deviations.

3.4 Ethics in Reporting Results

Statistical analysis involves making choices about how data are summarised and presented. These choices can influence how readers interpret the results. It is therefore important that statistics are reported in an **objective, transparent, and honest** manner.

Different measures of central tendency emphasise different features of the data. For example, the **mean** is affected by extreme observations, whereas the **median** is more resistant to them. The measure that **best represents the characteristics of the data** should be reported, rather than selecting a measure simply because it produces a more favourable

result.

The same principle applies to **measures of dispersion**. Different measures of spread may communicate different information about the variability of the data.

Where appropriate, reporting multiple descriptive statistics can provide a more complete and transparent representation of the data. Statistical results should be communicated clearly and should not deliberately hide inconvenient observations, exaggerate patterns, or create a misleading impression.

Statistical reporting should therefore provide an accurate representation of the data, even when the results do not support the conclusion that the researcher, business, or organisation might prefer.

3.5 Problem Set

1) There are a total of 46 bus stops in Bahrain. The distances between each consecutive pair of stops, measured in hundreds of metres, are given below.

11	4	10	4	9	3	8	10	3	14	1	6
4	3	5	2	2	5	4	2	3	2	5	5
1	1	2	7	8	10	2	3	7	5	4	3
2	1	1	2	1	1	2	1	2	1		

(a) Why can these observations be considered a **population**?

(b) What is the **mean distance** between consecutive bus stops?

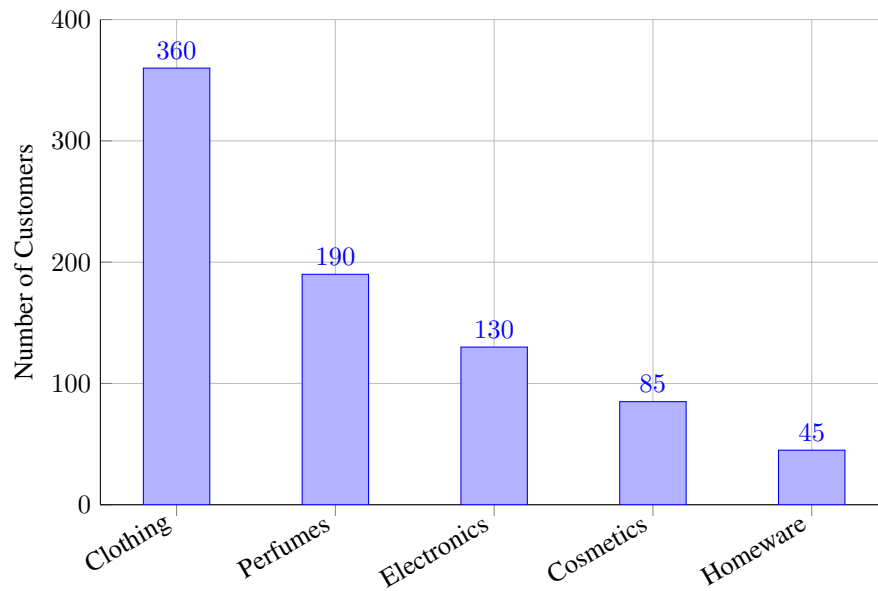
2) The number of hours per day that a sample of STC customers use their phones is shown below.

4.1	3.7	4.3	4.2	5.5	5.1
4.2	5.1	4.2	4.6	5.2	3.8

What is the arithmetic mean number of hours per day used? Why is this not considered a population dataset?

3) Bahrain City Center surveyed customers during a promotional event and recorded the main type of product purchased.

The results are shown below.



Which category represents the mode of the dataset?

4) The General Directorate of Traffic in Bahrain records all the number of traffic citations issued during each month of the year. The monthly figures are shown below.

Month	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Citations	19	17	22	18	28	34	45	39	38	44	34	10

Calculate the **population variance** σ^2 of the number of monthly traffic citations.

5) A sample of five part-time employees working in Akhbar Al Khaleej was selected. Their hourly wages, measured in Bahraini Dinars (BD), are shown below.

12	20	16	18	19
----	----	----	----	----

Calculate the **sample variance** s^2 and the **sample standard deviation** s of the hourly wages.

3.6 Solution

1) (a) The observations are considered the population of bus stop data because the question explicitly states that it includes all 46 bus stops in Bahrain. It would be considered a sample if the question had said "we have data on sample of 10 bus stops in Bahrain...".

(b) The population mean is computed as:

$$\begin{aligned}\mu &= \frac{\sum_{i=1}^N x_i}{N} \\ &= \frac{192}{46} \\ &\approx 4.17\end{aligned}$$

2) Remember that this is a sample dataset, so we use $\bar{x}$ rather than μ :

$$\begin{aligned}\bar{x} &= \frac{\sum_{i=1}^n x_i}{n} \\ &= \frac{4.1 + 3.7 + 4.3 + 4.2 + 5.5 + 5.1 + 4.2 + 5.1 + 4.2 + 4.6 + 5.2 + 3.8}{12} \\ &= \frac{54}{12} \\ &= 4.5\end{aligned}$$

In order to become a population dataset, STC would need to measure the hourly usage of mobile phones for *all* their customers, not just a sample of 12 people.

3) The clothing store represents the mode since it has the highest frequency. That is, it is the category that has the highest repetition in our dataset.

4) We first calculate the population mean:

$$\begin{aligned}\mu &= \frac{\sum_{i=1}^N x_i}{N} \\&= \frac{19 + 17 + 22 + 18 + 28 + 34 + 45 + 39 + 38 + 44 + 34 + 10}{12} \\&= \frac{348}{12} \\&= 29\end{aligned}$$

Then we compute the population variance:

$$\begin{aligned}\sigma^2 &= \frac{\sum_{i=1}^N (x_i - \mu)^2}{N} \\&= \frac{(19 - 29)^2 + (17 - 29)^2 + (22 - 29)^2 + (18 - 29)^2}{12} \\&\quad + \frac{(28 - 29)^2 + (34 - 29)^2 + (45 - 29)^2 + (39 - 29)^2}{12} \\&\quad + \frac{(38 - 29)^2 + (44 - 29)^2 + (34 - 29)^2 + (10 - 29)^2}{12} \\&= \frac{100 + 144 + 49 + 121 + 1 + 25 + 256 + 100 + 81 + 225 + 25 + 361}{12} \\&= \frac{1488}{12} \\&= 124\end{aligned}$$

5) We first compute the sample average:

$$\begin{aligned}
 \bar{x} &= \frac{\sum_{i=1}^n x_i}{n} \\
 &= \frac{12 + 20 + 16 + 18 + 19}{5} \\
 &= \frac{85}{5} \\
 &= 17
 \end{aligned}$$

Then we compute the sample variance:

$$\begin{aligned}
 s^2 &= \frac{\sum_{i=1}^n (x_i - \bar{x})^2}{n - 1} \\
 &= \frac{(12 - 17)^2 + (20 - 17)^2 + (16 - 17)^2 + (18 - 17)^2 + (19 - 17)^2}{5 - 1} \\
 &= \frac{25 + 9 + 1 + 1 + 4}{4} \\
 &= \frac{40}{4} \\
 &= 10
 \end{aligned}$$

The sample standard deviation is therefore:

$$\begin{aligned}
 s &= \sqrt{s^2} \\
 &= \sqrt{10} \\
 &= 3.16
 \end{aligned}$$

Chapter 4

Describing Data: Displaying and Exploring Data

4.1 Introduction

In this chapter, we are interested in illustrating our numerical ways of measuring a dataset. We will learn about several visualisation methods, such as the dot plot, box plot, scatter diagrams and the correlation coefficient.

4.2 Dot Plot

Consider the number of cars serviced by a Toyota and Lexus showroom for each working day of September 2026:

Toyota Showroom

Day	Cars Serviced
1	23
2	33
3	27
4	28
5	39
6	26
⋮	
24	30

Lexus Showroom

Day	Cars Serviced
1	31
2	35
3	44
4	36
5	34
6	37
⋮	
24	33

We are interested in illustrating this data in a way that highlights its distribution. One way to do this is by using a **dot plot**.

This is constructed by placing each observation on a horizontal number line. A dot is placed above the corresponding value for each observation in the dataset. If a value occurs more than once, the dots are stacked vertically, so the height of each stack represents the frequency of that value.

For the Toyota and Lexus showroom:

Figure 4.1: Toyota Showroom

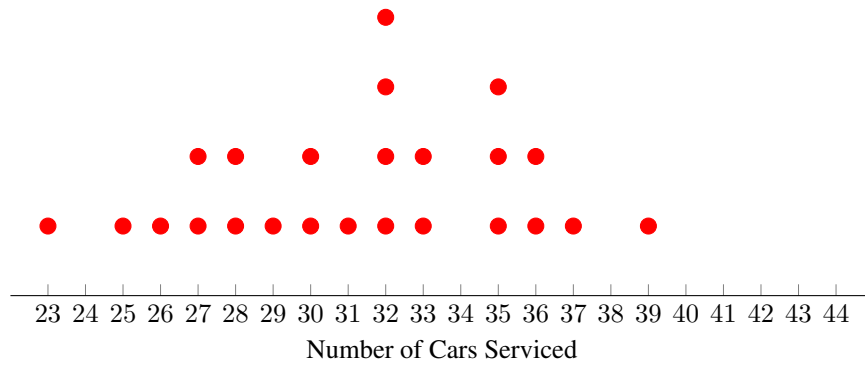
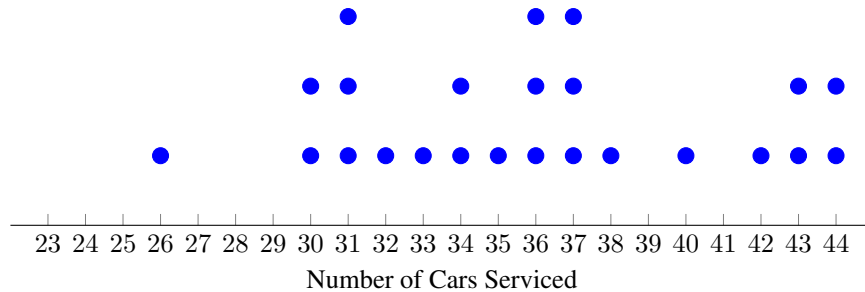


Figure 4.2: Lexus Showroom



The dot plots suggest that the Lexus showroom generally services more cars per day than the Toyota showroom, as its distribution is centred further to the right. The Lexus data is also somewhat more dispersed, indicating greater day-to-day variation in the number of cars serviced.

We can also analyse this numerically using some descriptive statistics:

Table 4.1: Descriptive Statistics

Showroom	n	Mean	Variance	Standard Deviation	Median	Min	Max
Toyota	24	31.29	16.91	4.11	32	23	39
Lexus	24	35.83	24.58	4.96	36	26	44

The visualisation is supported by the numerical descriptives. The Lexus showroom has a larger average as well as a wider variance and standard deviation.

4.3 Measures of Position

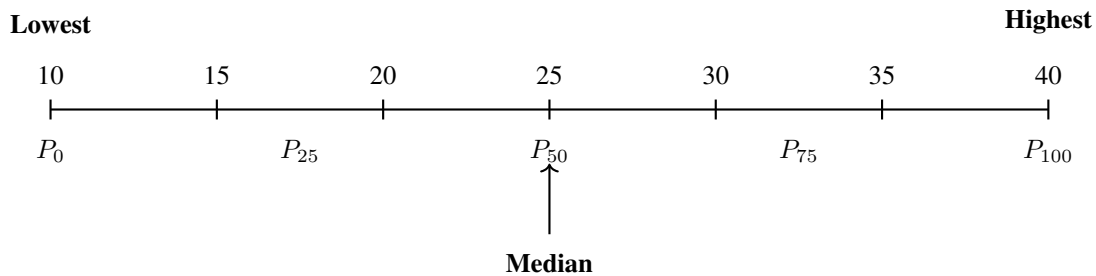
Consider a small ordered dataset:

10, 15, 20, 25, 30, 35, 40

Suppose we are interested in finding the median. The data is already arranged from lowest to highest and there are 7 observations. The median is therefore 25.

The median describes a position within the distribution. More specifically, we say that the median is **the 50th percentile**. This is because from its position, approximately 50% of the observations lie below it.

So if the median identifies the point with 50% of the data, then we can generalise this to other percentiles, such as 25% or 75% of our data.



More generally, the k th percentile P_k is the data value that indicates the position below which approximately $k\%$ of observations lie below it. For example, the data value of 40 is at the 100th percentile. This means 100% of observations are at or below it.

To identify the location L of the k th percentile p , we use the below formula:

$$L_p = \frac{k}{100}(n + 1)$$

Activity:

You have a dataset of salespeople from the Toyota showroom and you record their commission received from their car sales:

Table 4.2: Salesperson Commissions from the Toyota Showroom

Salesperson	Commission (BD)
1	1,460
2	1,471
3	1,637
4	1,721
5	1,758
6	1,787
7	1,940
8	2,038
9	2,047
10	2,054
11	2,097
12	2,205
13	2,287
14	2,311
15	2,406

Identify the data values which represent the 25th, 50th and 75th percentile.

Solution:

The data is already sorted from smallest to largest. To identify the location, we use the below formula:

$$L_p = \frac{k}{100}(n + 1)$$

There are $n = 15$ observations, which means for each percentile P_{25} , P_{50} and P_{75} :

$$L_{25} = \frac{25}{100}(15 + 1) = 4\text{th Observation}$$

$$L_{50} = \frac{50}{100}(15 + 1) = 8\text{th Observation}$$

$$L_{75} = \frac{75}{100}(15 + 1) = 12\text{th Observation}$$

These identify the positions. Therefore:

$$P_{25} = 1721$$

$$P_{50} = 2038$$

$$P_{75} = 2205$$

You should note that when using the location formula, you may not always get a whole number. In this scenario, you must use the following technique:

Interpolation Rule: If the calculated position L falls between two observations, use the decimal part of L to interpolate between them.

Suppose

$$L = j + d,$$

where j is the whole-number part of L and d is the decimal part. Then,

$$P = x_{(j)} + d(x_{(j+1)} - x_{(j)}),$$

where $x_{(j)}$ is the value at the lower position and $x_{(j+1)}$ is the value at the next position.

For example, if $L = 2.25$,

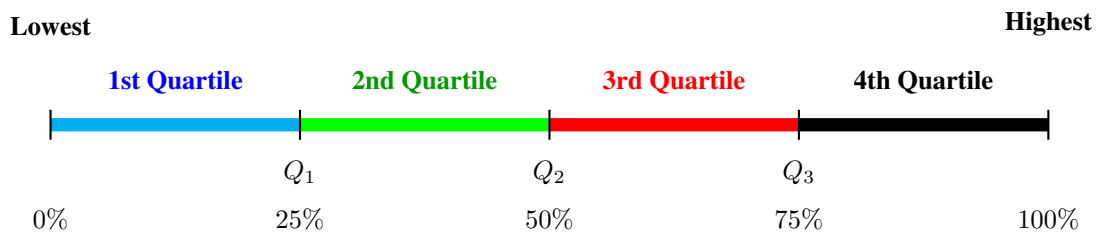
Implying that $L = j + d = 2 + 0.25$. This means:

$$P = x_{(2)} + 0.25 (x_{(3)} - x_{(2)}) .$$

The interpolated value does not need to be an actual observation in the dataset.

See **Problem Set Question 1 and 2** for an example of this.

A *percentile* divides the data into 100 equal parts. That is: $P_1, P_2, P_3, \dots, P_{100}$. You should also be aware that we can also express this in **quartiles**. This means we divide the dataset into 4 equal parts:



Note that $Q_1 = P_{25}$, $Q_2 = P_{50}$ and $Q_3 = P_{75}$. Notice that even though we label 3 quartiles, the data is divided into 4 parts.

You should know that an interesting descriptive statistics is the **Interquartile Range (IQR)**. This is simply the values where:

$$IQR = Q_3 - Q_1$$

Activity:

Consider again our data on sales commissions:

Table 4.3: Salesperson Commissions from the Toyota Showroom

Salesperson	Commission (BD)
1	1,460
2	1,471
3	1,637
4	1,721
5	1,758
6	1,787
7	1,940
8	2,038
9	2,047
10	2,054
11	2,097
12	2,205
13	2,287
14	2,311
15	2,406

Identify the data values which are the first, second and third quartiles. Use this to calculate the IQR.

Solution:

Remember that $Q_1 = P_{25}$, $Q_2 = P_{50}$ and $Q_3 = P_{75}$. There are also $n = 15$ observations. Essentially, the answer is unchanged compared to the previous activity:

$$L_{25} = \frac{25}{100}(15 + 1) = 4\text{th Observation}$$

$$L_{50} = \frac{50}{100}(15 + 1) = 8\text{th Observation}$$

$$L_{75} = \frac{75}{100}(15 + 1) = 12\text{th Observation}$$

These identify the positions. Therefore:

$$Q_1 = P_{25} = 1721$$

$$Q_2 = P_{50} = 2038$$

$$Q_3 = P_{75} = 2205$$

The IQR is therefore:

$$IQR = 2205 - 1721 = 484$$

4.4 Box Plot

We can visualise the quartiles of a dataset by illustrating it into a box plot. This will allow us to better understand the distribution of a dataset.

In order to construct a box plot, you need the following details:

- Q_1 .
- Q_2 .
- Q_3 .
- The maximum value of the dataset.
- The minimum value of the dataset.

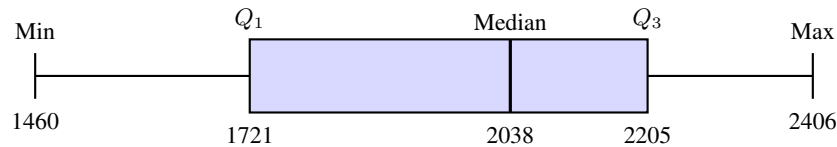
From our previous activity we can identify this:

- $Q_1 = 1721$.
- $Q_2 = 2038$.
- $Q_3 = 2205$.

- $\max = 2406$.
- $\min = 1460$.

We then draw the box plot as follows:

Figure 4.3: Box Plot



4.5 Scatter Diagram

A scatter diagram is usually used when trying to understand the correlation of two variables. This is when we have two quantitative variables, one listed on the vertical axis and the other on the horizontal axis.

I A scatter plot is a graphical technique showing the relationship between two interval- or ratio-scaled variables.

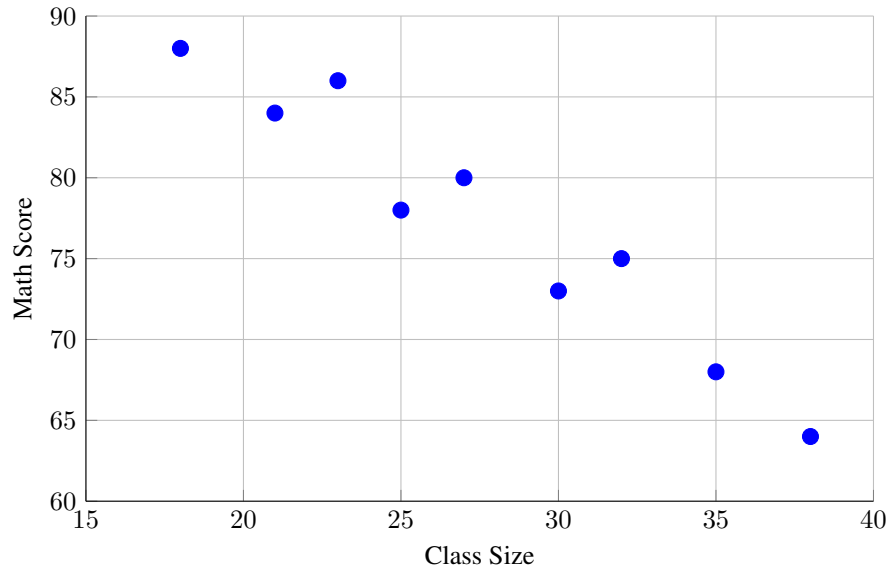
Consider this sample dataset of 9 classes in the Quantitative Business Methods module of Bahrain Polytechnic. We collect data on the following two variables:

Table 4.4: Class Characteristics and Mathematics Scores

School	Class Size	Teacher Salary (BD)	Math Score
Class 1	18	1,480	88
Class 2	21	1,350	84
Class 3	23	1,420	86
Class 4	25	1,180	78
Class 5	27	1,250	80
Class 6	30	1,050	73
Class 7	32	1,120	75
Class 8	35	950	68
Class 9	38	880	64

Suppose we are interested in the relationship between the size of a classroom and the average math score. One way to see this is to have the values of each variable on the axes. For example, let's have the math score on the vertical axis and the class size on the horizontal axis:

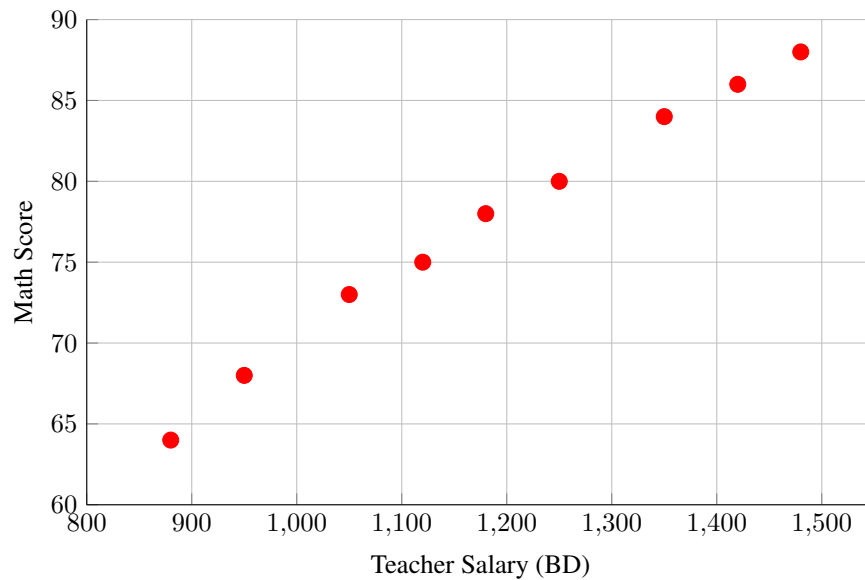
Figure 4.4: Class Size and Mathematics Scores



From the visual, we can see that there is a negative relationship between these two variables. This suggests that the larger a class room becomes, the lower they score in the math exam.

Similarly, let us say we want to plot the relationship between math scores and the salary of the teacher leading the class:

Figure 4.5: Teacher Salary and Mathematics Scores

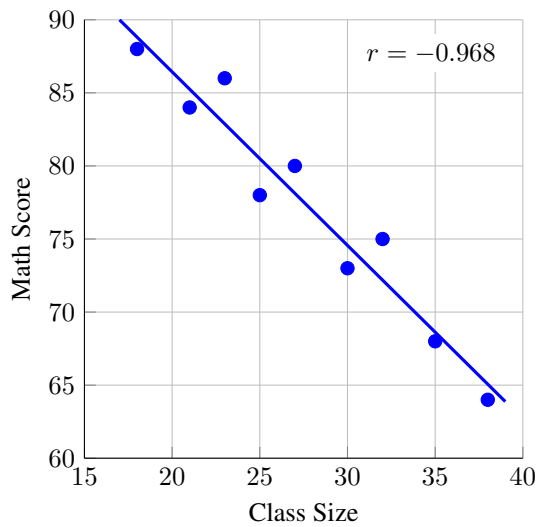


Now we see a positive relationship between math scores and the amount of money a teacher is paid. This might mean that a higher paid teacher can achieve better performance in math scores for the class they teach.

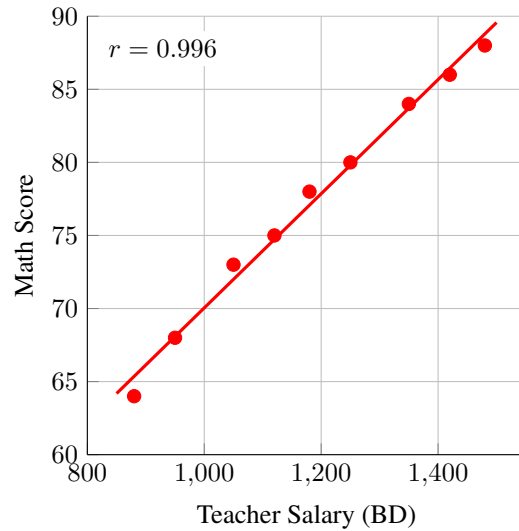
4.6 Correlation Coefficient

When variables are related to each other, as they are clearly shown in the scatter plot, then we can express this visually using a correlation graph:

Figure 4.6: Relationships between School Characteristics and Mathematics Scores



(a) Class Size and Math Score



(b) Teacher Salary and Math Score

The correlation coefficient r is a number that ranges between -1 and +1.

- When the correlation r is very close to -1, we say the variables are **strongly** negatively correlated.
- When the correlation r is very close to +1, then we say it is **strongly** positively correlated.
- When the correlation r is close to 0, then we say there is no relationship.

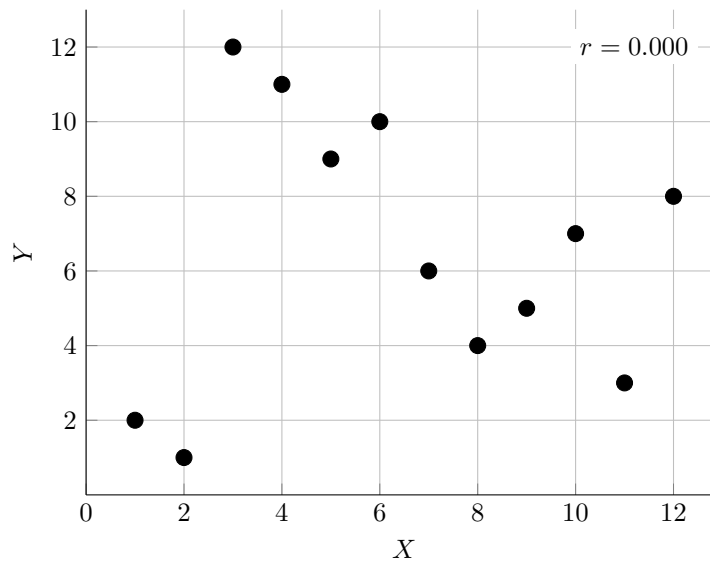
We can see in the plot that $r = -0.968$ for math and class sizes whereas it is $r = 0.996$ for the math and teacher salary.

This is what we expected from our analysis earlier.

I The correlation coefficient measures the direction and strength of the relationship between two variables.

Activity:

Consider the below scatter plot between variables Y and X :



What is the relationship between the two variables?

Solution:

There is no relationship between Y and X . This is seen from the scatter plot itself which does not consistently show any positive or negative relation. Moreover, the $r = 0$, so there is no correlation between them.

4.7 Contingency Table

A scatter plot is useful when analysing the relationship between two quantitative variables. However, if we are interested in the relationship between **categorical** variables, then we could consider using a **contingency table**.

A contingency table is used to examine the frequency distribution of two categorical variables. The categories may be nominal or ordinal.

Suppose the CEO of Batelco wants to know about the performance of their branches across Bahrain. Data on customer satisfaction and branch location is given below:

Table 4.5: Customer Satisfaction by Location

Satisfaction	Manama	Riffa	Muharraq	Isa Town	Total
Satisfied	25	20	19	26	90
Dissatisfied	27	20	26	17	90
Total	52	40	45	43	180

It seems that across all branches, customers are equally happy as they are unhappy. We can see this by looking at the last column under **Total**:

$$\frac{\text{Satisfied}}{\text{Total}} = \frac{90}{180} = 0.5$$

therefore, 50% of all customers surveyed are happy with their service across all branches.

Activity:

Between each branch, which location has the best customer satisfaction?

Solution:

You need to divide the satisfaction of each branch by their total. We can see that the Isa Town branch has the highest satisfaction:

$$\frac{26}{43} = 0.64$$

meaning that 60.4% of customers were happy with the service.

4.8 Ethics in Statistics

Statistical results should be presented in an **objective, transparent, and honest** manner. Choices about how data are summarised and displayed can influence how readers interpret the results.

- **Outliers** should be reported rather than silently removed. Observations should only be excluded when there is a clear and defensible reason for doing so.
- The **shape and skewness** of a distribution should be considered when reporting descriptive statistics. For example, reporting only the mean for a highly skewed distribution may give a misleading impression of the data.
- Graphical displays, such as **box plots and dot plots**, should represent the relevant dataset rather than a selected subset chosen to produce a particular visual impression.

- Researchers should report results that accurately represent the data, even when the findings do not support the conclusion they expected or preferred.

Artificial intelligence can assist with statistical analysis and the communication of results, but its outputs should be used carefully.

- AI should not be used to “make the data look better” by altering, removing, or selectively presenting observations in order to produce a preferred result.
- Statistical summaries, calculations, and interpretations generated by AI should be **checked against the original data** rather than accepted without verification.
- The researcher remains responsible for ensuring that the final analysis accurately and transparently represents the underlying data.

4.9 Problem Set

1) Consider the following ordered dataset:

5.24	6.02	6.67	7.30	7.59	7.99	8.03	8.35	8.81	9.45
9.61	10.37	10.39	11.86	12.22	12.71	13.07	13.59	13.89	15.42

Calculate the following measures of position:

(a) The first quartile, Q_1 .

(b) The median, Q_2 .

(c) The third quartile, Q_3 .

Use the percentile position formula

$$L_p = (n + 1) \frac{p}{100},$$

as well as the interpolation method.

2) Consider the following test scores for 10 students:

42	50	55	60	64	68	72	78	84	90
----	----	----	----	----	----	----	----	----	----

Derive the 50th and 10th percentile.

4.10 Solution

1) There are $n = 20$ observations.

(a) **First Quartile (Q_1)**

Since $Q_1 = P_{25}$,

$$\begin{aligned}L_{25} &= (20 + 1) \left(\frac{25}{100} \right) \\&= 5.25\end{aligned}$$

Therefore, Q_1 lies 0.25 of the way between the 5th and 6th observations:

$$x_{(5)} = 7.59, \quad x_{(6)} = 7.99.$$

Using linear interpolation,

$$\begin{aligned}Q_1 &= 7.59 + 0.25(7.99 - 7.59) \\&= 7.59 + 0.10 \\&= \boxed{7.69}\end{aligned}$$

(b) **Median (Q_2)**

Since $Q_2 = P_{50}$,

$$\begin{aligned}L_{50} &= (20 + 1) \left(\frac{50}{100} \right) \\&= 10.5\end{aligned}$$

Therefore, the median lies halfway between the 10th and 11th observations:

$$x_{(10)} = 9.45, \quad x_{(11)} = 9.61.$$

Thus,

$$\begin{aligned}Q_2 &= 9.45 + 0.5(9.61 - 9.45) \\&= \boxed{9.53}\end{aligned}$$

(c) **Third Quartile (Q_3)**

Since $Q_3 = P_{75}$,

$$\begin{aligned}L_{75} &= (20 + 1) \left(\frac{75}{100} \right) \\&= 15.75\end{aligned}$$

Therefore, Q_3 lies 0.75 of the way between the 15th and 16th observations:

$$x_{(15)} = 12.22, \quad x_{(16)} = 12.71.$$

Using linear interpolation,

$$\begin{aligned}Q_3 &= 12.22 + 0.75(12.71 - 12.22) \\&= 12.22 + 0.3675 \\&= \boxed{12.5875 \approx 12.59}\end{aligned}$$

2) There are $n = 10$ observations and the data are already arranged from smallest to largest.

50th Percentile

$$\begin{aligned}L_{50} &= (n + 1) \frac{50}{100} \\&= (10 + 1) \frac{50}{100} \\&= 5.5\end{aligned}$$

The 50th percentile lies halfway between the 5th and 6th observations, which are 64 and 68.

$$\begin{aligned}P_{50} &= 64 + 0.5(68 - 64) \\&= 66\end{aligned}$$

Therefore,

$$\boxed{P_{50} = 66}$$

10th Percentile

$$\begin{aligned}L_{10} &= (n + 1) \frac{10}{100} \\&= (10 + 1) \frac{10}{100} \\&= 1.1\end{aligned}$$

The 10th percentile lies between the 1st and 2nd observations, which are 42 and 50.

$$\begin{aligned}P_{10} &= 42 + 0.1(50 - 42) \\&= 42.8\end{aligned}$$

Therefore,

$$\boxed{P_{10} = 42.8}$$